UPSC EPFO · INDUSTRIAL RELATIONS, LABOUR CODES AND SOCIAL SECURITY IN INDIA

Industrial Relations

Six topics, written from the law as it stands today. Each rule names the section that applies now, and what the old Act said where it changed.

How to read these notes

IR Code s.6(2)	The law today. The Industrial Relations Code 2020 is in force from 21 November 2025.
OLD TU Act 1926 s.4	An old Act, now repealed. Shown only to compare.
NEEDS RULES	The section works through rules or a Government notification.
SAME CHANGED NEW REMOVED	How the Code compares with the old law.

IR Code s.x Rule card

One rule of law. The section is always at the top.

OLD Old Act s.y what it said before SAME

Contents

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2. Trade unions
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TOPIC 1

Industrial relations: concepts and approaches

Industrial relations (IR) is the study of the relations between workers, employers and the State at work. This topic covers what IR means, the main approaches and thinkers, the concepts of labour, the aims and causes of poor IR, and how market forces now shape IR.

LAW TODAY

Concept topic. No Code section applies; the ideas are unchanged by the Codes.

1. **Dunlop (1958):** an IR system has four parts: actors, contexts, ideology and a body of rules.
2. **Pluralism:** both parties strive for, and have the opportunity to exercise, economic and political power.
3. **Citizen concept:** labour has a right to be consulted on its terms and conditions of work.
4. **Tripartism:** government, employers and workers act as "equal and independent partners".
5. **Market forces:** IR is now more influenced by external market forces than by the power play between employers and employees.

1. Meaning, actors and tripartism

ILO glossary (2005): IR covers the individual and collective relations between workers and employers, at work and arising from the work situation. It also covers the relations between their representatives at industry and national levels, and their interaction with the State.

Dale Yoder: IR is the "whole field of relationship that exists because of the necessary collaboration of men and women in the employment process of an industry". In another wording: "relationships between management and employees or among employees and their organizations, that characterize or grow out of employment".

Tripartism

Tripartism is "the active interaction of government, employers and workers (through their representatives) as equal and independent partners in efforts to seek solutions to issues of common concern" (ILO glossary, 2005).

2. Dunlop's systems approach

John T. Dunlop published "Industrial Relations Systems" in 1958. He said an IR system has four parts.

1. Actors

A hierarchy of managers and their representatives in supervision. A hierarchy of workers (non-managerial) and any spokesmen. Specialised governmental agencies (and specialised private agencies created by the first two actors).

2. Contexts

The technological characteristics of the workplace and work community. The market or budgetary constraints on the actors. The locus and distribution of power in the larger society.

3. Ideology

It binds the system together.

4. Rules

A body of rules.

3. Approaches to IR

Approach	Core idea	Unions and power
Unitary	The system is in basic harmony. Conflict is "unnecessary and exceptional".	Unions are seen as intrusions from outside. Management prerogative is legitimate and accepted.
Pluralistic	The organisation is made of individuals who form separate sectional groups, each with its own interest, objectives and leadership. It is managed through a variety of roles, institutions and processes.	Collective bargaining is a political institution and a power relationship between employers and employees. Unions balance the power between management and employees. Both parties strive for, and have the opportunity to exercise, economic and political power.
Marxist or radical	Class conflict arises from the disparity in the distribution of, and access to, economic power.	Economic power is unevenly distributed. Exploitation continues unabated under pluralist institutions. Marxists are the major critics of the pluralist approach.
Trusteeship (Gandhian)	Employers should regard themselves only as trustees or co-owners.	Strikes are "the last weapon in the armoury of industrial workers". Gandhi advocated voluntary arbitration and mutual settlement of disputes.

The Textile Labour Association (TLA), Ahmedabad, was founded in 1920 by Anasuya Sarabhai and Mahatma Gandhi.

Names tied to pluralism

1. **Alan Fox:** linked to the pluralist frame and often called a "radical pluralist". He later wrote a radical critique of pluralism (1974, 1979).
2. **Allan Flanders (1970):** set out a pluralist approach to IR, known as the Oxford approach. He wrote: "a system of industrial relations is a system of rules" and "the study of industrial relations may therefore be described as a study of job regulation".
3. **H.A. Clegg:** grouped with Flanders as a main architect of British IR institutionalism. He wrote "Pluralism in industrial relations" (British Journal of Industrial Relations 13(3), 1975).

Other approaches

1. **Social action (Weber):** gives weight to control under increasing rationalisation and bureaucratisation. The actors' understanding of the work situation matters more than social factors.
2. **Human relations (Elton Mayo):** developed from the Hawthorne experiment at the Western Electric plant, which ran from 1924 to 1932. Informal groups set informal rules on workers.
3. **Psychological and socio-ethical:** the socio-ethical approach is not much widely accepted.
4. **Human resource management (HRM)** is also named as an approach.

4. Concepts of labour

Concept	One testable detail
Commodity	Labour is affected by the law of supply and demand and is priced by it. A historical view.
Machinery	Employers "started to regard their employees largely as machines capable of a certain amount of out-put".
Partnership	Workers are partners in the enterprise. They have mutual responsibilities and a share in the fruits of the joint endeavour. Some call this concept "fallacious".
Citizen	Workers are citizens of the industry in which they are employed. They have a right to be consulted on their terms and conditions of work, that is, a right to have a voice in determining the rules and regulations under which they work.

5. Objectives and causes of poor IR

Objectives of IR

1. **Industrial peace:** avoid industrial conflict, especially work stoppages, go-slow, gheraos, strikes and lockouts.
2. **Industrial democracy:** establish and maintain it, based on the participation of labour in the management and gains of industry.
3. **Higher productivity:** facilitate production and productivity, for example by reducing labour turnover and absenteeism.
4. **Better economic condition** of workers.

Related policy aims

Indian labour policy has two-fold objectives: industrial peace and the welfare of labour. Mutual settlement of disputes through collective bargaining and voluntary arbitration is encouraged as a tenet of the National Commission on Labour's IR policy.

Causes of poor industrial relations

Group	Cause
Economic	Wages, bonus and dearness allowance.
Managerial	An authoritarian or autocratic attitude of management.
Organisational	Faulty communication, dilution of supervision and command, non-recognition of trade unions, unfair practices, and violation of collective agreements, standing orders and labour laws.
Union-related	The political nature of trade unions, multiple unions and inter-union rivalry weaken the trade union movement.
Psychological	Lack of job security, poor organisational culture, non-recognition of merit and performance, authoritative administration and poor interpersonal relations.
Technological	New technology, automation, mechanisation or computerisation introduced without proper consultation, preparation and discussion with workers.
Government	Government-related factors are a listed category of causes. Examples: change in economic policies and old labour laws; government machinery can itself become a cause.

6. Industrial democracy, the Webbs and F.W. Taylor

Industrial democracy and the Webbs

The term comes from Sidney and Beatrice Webb, "Industrial Democracy" (London, 1897). For the Webbs it means **trade-union self-government and common-rule bargaining**, not workers' sharing in managerial decisions.

The term is used in other senses too.

1. **Indian IR use:** "government mandated worker participation at various levels of the organisation with regard to decisions that affect workers". "Workers share in decision making" holds only for this sense.
2. **ILO:** the term is used loosely. One view applies it only to powers that counter-balance management.
3. **Another account:** it denotes the democratic organisation of unions and collective bargaining.

F.W. Taylor

1. **1911:** scientific management needs "a complete revolution in the mental attitude and the habits of all of those engaged in the management, as well of the workmen" (Principles of Scientific Management).
2. **1912:** Taylor told the House Special Committee it involves "a complete mental revolution" on the part of the workingman and "the equally complete mental revolution" on the part of management.
3. The exact phrase "mental revolution" is from the 1912 statement, not the 1911 book. It is a scientific-management idea.
4. **Functional management:** it replaces the single foreman by **eight** different men, each with his own special duties. Four are in the planning room. Four are shop bosses: gang bosses, speed bosses, inspectors and repair bosses.

7. IR and market forces

IR is now more influenced by **external market forces** than by the power play between employers and employees.

Globalisation has made competition so imperative that stoppage tactics, such as stopping production, no longer hold good.

1. Market forces and workforce changes have placed an immense burden on trade unions (Sridharan, 2017).

2. The ILO Committee of Experts says sympathy strikes "are becoming increasingly frequent because of the move towards the concentration of enterprises, the globalization of the economy and the delocalization of work centres" (Gernigon, Odero, Guido, 1998).

3. A study of 15 industrialised countries links globalisation with declining strike rates, though not in a steady line.

Quick revision

Pluralism	Both parties strive for economic and political power; unions balance power
Unitary	Basic harmony; conflict "unnecessary and exceptional"
Radical	Exploitation continues unabated under pluralist institutions
Flanders (1970)	Oxford approach; a system of rules, a study of job regulation
Citizen concept	Right to be consulted on terms and conditions of work
Commodity concept	Priced by supply and demand
Partnership concept	Workers as partners; share in the fruits
Dunlop (1958)	Actors, contexts, ideology, body of rules
ILO tripartism	"Equal and independent partners"
Webbs (1897)	"Industrial Democracy": union self-government and common-rule bargaining
Taylor	Functional management: eight men replace one foreman
Market forces	Now shape IR more than the employer and employee power play

Test yourself

1. Which approach to IR holds that both parties strive for economic and political power?
2. Name the four parts of Dunlop's IR system.
3. Which concept of labour says workers have a right to be consulted on their terms and conditions of work?
4. What did the Webbs mean by "industrial democracy" in 1897?
5. In Taylor's functional management, how many men replace the single foreman? Name the four shop bosses.
6. Which approach sees conflict as "unnecessary and exceptional" and unions as intrusions from outside?

Answers

1. The pluralistic approach.
2. Actors, contexts, ideology and a body of rules.
3. The citizen concept.
4. Trade-union self-government and common-rule bargaining, not workers' sharing in managerial decisions.
5. Eight men. The shop bosses are gang bosses, speed bosses, inspectors and repair bosses.
6. The unitary approach.

TOPIC 2

Trade unions

A trade union is a body of workers (or employers) that works to regulate relations at work. This topic covers what a union is, how it registers, what protects it, who may join and lead it, and which union negotiates with the employer.

LAW TODAY

IR Code Ch III (IR Code ss.5 to 27), in force from 21 November 2025 (S.O. 5320(E)). It replaced OLD TU Act 1926, repealed from the same date IR Code s.104(1).

1. **7 members** apply to register a union IR Code s.6(1). At least **10% of the workers or 100**, whichever is less, must be members IR Code s.6(2).
2. Registration is **optional**: members "may apply" IR Code s.6(1).
3. With more than one registered union, **51%** of the workers on the muster roll makes a sole negotiating union IR Code s.14(3). If no union has 51%, a negotiating council is formed from unions with at least **20%** IR Code s.14(4).
4. A registered union is a **body corporate** IR Code s.12. Members must be **14** or more and employed in a non-hazardous industry IR Code s.20. Office-bearers must be **18** or more IR Code s.21(1)(i).
5. The right to strike is a **common law right**, not a fundamental right. The Code regulates strikes IR Code ss.62, 63.

1. What a trade union is

IR Code s.2(zl) **Trade Union**

Any combination, temporary or permanent, formed **primarily to regulate relations** between workers and employers, workers and workers, or employers and employers.

It also covers a combination formed to impose restrictive conditions on the conduct of any trade or business.

It includes any **federation of two or more** Trade Unions.

OLD TU Act 1926 s.2(h) the same definition. Only the wording changes: "workmen" became "workers" CHANGED

Webb (History of Trade Unionism, 1920 edition): a trade union is "a continuous association of wage earners for the purpose of maintaining or improving the conditions of their working lives".

Old term, new term: trade dispute

IR Code s.2(q) **Industrial dispute**

The words "trade dispute" no longer appear in the Code. Its counterpart is **"industrial dispute"**, with the **same three heads**: a dispute between employers and workers, workers and workers, or employers and employers, connected with employment or non-employment, the terms of employment or the conditions of labour.

"Trade dispute" OLD TU Act 1926 s.2(g): a dispute between employers and workmen, workmen and workmen, or employers and employers, connected with employment or non-employment, the terms of employment or the conditions of labour of any person CHANGED

2. Registration

The Registrar of Trade Unions registers unions. The rules below sit in IR Code ss.5 to 12.

IR Code s.6(1) **Who applies**

Any **7 or more members** of a trade union may apply for registration. Registration is **optional**: the Code says "may apply".

OLD TU Act 1926 s.4(1) any 7 or more members; also "may apply" SAME

IR Code s.6(2) **Strength on the date of application**

The members must be at least **10% of the workers or 100**, whichever is less.

OLD TU Act 1926 s.4 first proviso: the same test SAME

IR Code s.6(4) **Strength after registration**

The union must **at all times** keep at least 10% of the workers or 100, whichever is less, subject to a minimum of **7**.

OLD TU Act 1926 s.4 second proviso: not less than 7 members on the date of application CHANGED

IR Code s.9(4) **Old registrations**

A union validly registered under the 1926 Act is **deemed registered** under the Code. It files a statement and updated rules.

Worked example: 1,100 workers

A unit has 1,100 workers. 10% of 1,100 is 110, but 100 is less, so the threshold is **100**. Unions with 100 or more members qualify.

- A: 100 members, qualifies
- B: 370 members, qualifies
- C: 110 members, qualifies
- D: 275 members, qualifies
- E: 80 members, does not qualify

Unions A, B, C and D qualify. The Code IR Code s.6(2) uses the same test as the old Act, so the result is the same.

Who does what

Item	Owner	Section
Appoints the Registrar of Trade Unions	State Government, by notification	IR Code s.5(1)
Hears an appeal against refusal of registration or cancellation	The Tribunal	IR Code s.10(1)
Recognises a Central Trade Union	Central Government, in the prescribed manner	IR Code s.27(1) NEEDS RULES
Recognises a State Trade Union	State Government, in the prescribed manner	IR Code s.27(2) NEEDS RULES

IR Code s.12 Legal person

Every registered union is a **body corporate**. It has perpetual succession and a common seal, may hold property and contract, and may sue and be sued.

OLD TU Act 1926 s.13 said "a corporate" for the same idea SAME

3. Funds and protections

Funds

IR Code s.15(1) NEEDS RULES **General fund**

Spent only on objects that are **prescribed**.

OLD TU Act 1926 s.15 listed the heads itself: office-bearers' salaries, administration and legal proceedings, the conduct of trade disputes, compensation of members for loss arising out of trade disputes, and educational, social or religious benefits for members CHANGED

IR Code ss.15(2), 15(3) **Political fund**

A registered union **may keep a separate political fund** for the civic and political interests of members. No member can be compelled to pay into it. A member who does not pay is not put at a disadvantage.

OLD TU Act 1926 s.16 the same idea, in a different section SAME

Protections (Code Chapter III)

IR Code s.16(1) **No civil suit**

No civil suit lies against a registered union, an office-bearer or a member for an act in furtherance of an **industrial dispute**, on the ground only that it induces a breach of an employment contract.

OLD TU Act 1926 s.18(1) the same protection, worded as "trade dispute" CHANGED

IR Code s.16(2) **Tort by an agent**

The union is not liable for a tort by its agent who acted **without the knowledge of, or against the express instructions of**, the executive.

OLD TU Act 1926 s.18(2) SAME

IR Code s.17 **Criminal conspiracy**

No punishment under IPC s.120B(2) (Indian Penal Code) for an agreement to further an object in IR Code s.15, unless the agreement is to commit an offence.

OLD TU Act 1926 s.17 SAME

IR Code s.18 **Restraint of trade**

An agreement between members is **not void or voidable** merely because its objects restrain trade.

OLD TU Act 1926 s.19 SAME

TRAP

Students mix up old and new section numbers because the Code moved the civil-suit protection from old OLD TU Act 1926 s.18 to IR Code s.16, and restraint of trade from old OLD TU Act 1926 s.19 to IR Code s.18.

4. Members and office-bearers

IR Code s.20 **Age to be a member**

A member must be **14 years** or more and employed in a **non-hazardous** industry. So a 17-year-old in a non-hazardous industry can be a member.

OLD TU Act 1926 s.21 **15 years** CHANGED

IR Code s.21(1)(i) **Age to be an office-bearer**

An office-bearer must be **18 or more**.

OLD TU Act 1926 s.21A the same SAME

IR Code s.23(2) **Outsiders in the executive**

All office-bearers except **not more than one-third of them, or 5**, whichever is less, must be persons actually engaged in the establishment or industry. A retired or retrenched employee is not an outsider.

OLD TU Act 1926 s.22(2) the corresponding rule, with the same Explanation on retired or retrenched employees

IR Code s.23(1) **Outsiders, unorganised sector**

Not less than **one-half** of the office-bearers must be persons actually engaged in the industry.

OLD TU Act 1926 s.22(1) the corresponding rule

TRAP

Students confuse the two outsider rules because both sit in IR Code s.23. "One-half" applies only to unions in an unorganised sector, which the appropriate Government notifies. "One-third or 5" is the general rule.

IR Code ss.7(f), 15(4) NEEDS RULES **Minimum subscription**

Left to the rules, "as may be prescribed". The Code gives no rupee figure.

OLD TU Act 1926 s.6(ee) not less than Re 1 a year for rural workers, Rs 3 for workers in other unorganised sectors, Rs 12 in any other case CHANGED

IR Code s.26(1)(a) NEEDS RULES **Annual return**

A general statement to the Registrar by the prescribed date, for the year ending **31 December**.

OLD TU Act 1926 s.28(1) the same year-end SAME

IR Code s.24(2) NEEDS RULES **Amalgamation**

Two or more registered unions may amalgamate "in such manner as may be prescribed".

OLD TU Act 1926 s.24 votes of at least one-half of the members of each union recorded, and at least **60%** of the votes recorded in favour CHANGED

5. Recognition: negotiating union and council

The Code requires a negotiating union or a negotiating council in an industrial establishment that has a registered Trade Union IR Code s.14(1).

How many registered unions are in the establishment?

One

The employer recognises it as the sole negotiating union, on prescribed criteria IR Code s.14(2) NEEDS RULES. It does not need 51%.

More than one

The share of workers on the muster roll, verified as prescribed, decides IR Code s.14(3) NEEDS RULES. **51% or more:** that union is the sole negotiating union IR Code s.14(3). **No union at 51%:** a negotiating council is formed IR Code s.14(4), with seats only for unions that have 20% or more of the workers.

The council has representatives of unions that have the support of not less than **20%** of the workers on the muster roll. It has one representative for each 20%, and for the remainder after calculating the membership on each 20%.

The second National Commission on Labour (2002) recommended that a system of recognising the negotiating agency be placed on the statute. The Code now does it IR Code s.14.

IR Code s.27(1) NEEDS RULES **Central Trade Union recognition**

Where the Central Government is "of the opinion that it is necessary or expedient", it may recognise a Trade Union or federation as a Central Trade Union Organisation (CTUO), in the prescribed manner.

In 1946 the Government verified the membership of AITUC and IFL. This is a past event, not a Code rule.

6. Types of unions and union security

Types of unions

Type	Test
Craft union	Workers of one craft or trade, whatever the plant or industry
Industrial union	All workers of a plant or industry, whatever their craft or trade
General union	Workers of many industries, employments and crafts
Company union	Membership confined to the employees of one firm
Enterprise union	The Japanese type
Federation	A Trade Union includes a federation of two or more unions IR Code s.2(zl). India has federations in many individual industries.
Central Trade Union Organisation	A central level body, recognised under IR Code s.27(1) NEEDS RULES. Say "central", not "national".
White-collar union	Staff such as banking and insurance employees, government employees, teachers, nurses, technicians and engineers have organised in India

Union security

Arrangement	Test
Closed shop	Only union members may be employed
Union shop	Non-members may be hired, but must join if they stay beyond the probationary period
Agency shop	All employees in the bargaining unit pay dues; they need not join. It answers the complaint about free riders
Maintenance of membership	Employees who are, or become, members after a specified date must stay members for the full term of the agreement

Arrangement	Test
Preferential shop	Management agrees to give union members the first chance of employment
Check-off	The employer deducts union dues from pay and passes them to the union

Open shop is **not** a union security measure.

India: the second National Commission on Labour (2002, para 6.73) recommended compulsory check-off in establishments of 300 or more workers. It is a recommendation, not law.

7. Problems of Indian unions

1. **Multiplicity:** many unions is the rule in India, and rivalry causes violent incidents. The second National Commission on Labour (2002) describes the movement as marked by multiplicity of unions, fragmentation and politicisation.

2. **Outside leadership:** it has a historical background and lingered after independence. Illiteracy, backwardness and fatalism of workers contributed to dependence on it.

3. **Weak coverage:** the same Commission says working-class organisations are weakened by fragmentation, disenchantment and poor unionisation.

4. **Data (Labour Bureau, 2018):** average membership per registered union was 2,537. Only 4,771 unions (7.2%) filed returns.

8. Thinkers

Thinker	Idea
Hoxie	Five functional types: **business, friendly or uplift, revolutionary, predatory and dependent** unionism. Evolutionary unionism is not one of them.
Marx	Unions should be used as "a lever for the final emancipation of the working class", that is "the ultimate abolition of the wages system" (Value, Price and Profit).
Webbs	Industrial Democracy: trade unionism sits in "the industrial democracy of the future". The earliest use of "collective bargaining" they knew was by Beatrice Potter in 1891 (their own footnote).

Thinker	Idea
Perlman	A Theory of the Labor Movement: American unionism became a stabilised movement when scarcity consciousness replaced abundance consciousness. American conservative union leaders have striven more relentlessly for full job control than their radical rivals.

9. History: central union organisations

> **1920** AITUC. Founding conference began on 31 October 1920 in Bombay. Lala Lajpat Rai was the first president.
>
> **1920** Textile Labour Association, Ahmedabad, founded by Anasuya Sarabhai and Mahatma Gandhi.
>
> **1947** INTUC.
>
> **1948** HMS. Founded in Calcutta at a conference on 24 to 26 December 1948.
>
> **1949** UTUC.
>
> **1955** BMS. Founded on 23 July 1955 by Thengadi.
>
> **1970** CITU.
>
> **1972** SEWA. Ahmedabad; Ela Bhatt took the initiative, with Arvind Buch.

Order of the six: AITUC, INTUC, UTUC, BMS, CITU, SEWA.

10. Right to strike

The right to strike is a **common law right**, not a fundamental right.

What the courts said

1. Constitution Art 19(1)(c) gives citizens the right "to form associations or unions or co-operative societies".

2. **All India Bank Employees' Association v National Industrial Tribunal** (28 August 1961, AIR 1962 SC 171): the right to form unions under Constitution Art 19(1)(c) does not carry a right to strike. The right to strike or to lock-out may be controlled or restricted by appropriate industrial legislation.

3. **T.K. Rangarajan v Government of Tamil Nadu** (6 August 2003): employees have no fundamental right to strike. There is no fundamental, legal or equitable right to go on strike. The

Court also said there is no legal or statutory right to strike. The case was about government employees only.

What the Code says

IR Code s.2(zk) Strike

A cessation of work by a body of persons employed in any industry acting in combination, or a concerted refusal to work. It includes **concerted casual leave on a given day by 50% or more** of the workers.

IR Code ss.62, 62(1) Notice and bars

No person in an industrial establishment may strike, in breach of contract, **without notice within 60 days before striking**.

Other bars: within 14 days of the notice; before the date in the notice; during conciliation and for 7 days after; during Tribunal proceedings and for 60 days after; during notified arbitration and for 60 days after; and while a settlement or award applies.

IR Code s.63(1)(i) Illegal strike

A strike started in breach of IR Code s.62 is **illegal**.

What changed

Point	Before	Now	
Union definition	"Workmen" OLD TU Act 1926 s.2(h)	"Workers" IR Code s.2(zl), same definition	CHANGED
Dispute term	"Trade dispute" OLD TU Act 1926 s.2(g)	"Industrial dispute" IR Code s.2(q), same three heads	CHANGED
Strength to register	10% or 100 OLD TU Act 1926 s.4	10% or 100 IR Code s.6(2)	SAME
Strength after registration	Not less than 7 members on the date of application OLD TU Act 1926 s.4	**At all times** 10% or 100, minimum 7 IR Code s.6(4)	CHANGED
General fund heads	Listed in the Act OLD TU Act 1926 s.15	Prescribed objects IR Code s.15(1) NEEDS RULES	CHANGED

Point	Before	Now	
Civil-suit protection	OLD TU Act 1926 s.18(1)	IR Code s.16(1)	CHANGED
Restraint of trade	OLD TU Act 1926 s.19	IR Code s.18	SAME
Age to be a member	15 OLD TU Act 1926 s.21	**14**, non-hazardous industry IR Code s.20	CHANGED
Age to be an office-bearer	18 OLD TU Act 1926 s.21A	18 IR Code s.21(1)(i)	SAME
Minimum subscription	Re 1, Rs 3, Rs 12 OLD TU Act 1926 s.6(ee)	As prescribed IR Code ss.7(f), 15(4) NEEDS RULES	CHANGED
Amalgamation	60% of votes recorded in favour OLD TU Act 1926 s.24	"In such manner as may be prescribed" IR Code s.24(2) NEEDS RULES	CHANGED

Numbers on one scale

7 members to apply for registration, and the minimum after registration IR Code ss.6(1), 6(4). Minimum age of a member: **14** years, non-hazardous industry IR Code s.20. Minimum age of an office-bearer: **18** years IR Code s.21(1)(i).

Shares and money

- **10% or 100** of the workers, whichever is less, as members IR Code s.6(2)
- **20%** of the workers: a union gets a seat on the negotiating council IR Code s.14(4)
- **51%** of the workers: sole negotiating union IR Code s.14(3)

Quick revision

Law on trade unions today	IR Code Ch III (IR Code ss.5 to 27)
Members to apply	7 IR Code s.6(1)
Strength to register	10% of workers or 100, whichever is less IR Code s.6(2)
Is registration compulsory?	No, members "may apply" IR Code s.6(1)

Legal status of a registered union	Body corporate IR Code s.12
Age: member and office-bearer	14 (non-hazardous industry) IR Code s.20; 18 IR Code s.21(1)(i)
Outsiders in the executive	Not more than one-third or 5, whichever is less IR Code s.23(2); unorganised sector: one-half engaged in the industry IR Code s.23(1)
Sole negotiating union	51% of workers on the muster roll, where more than one union IR Code s.14(3)
Negotiating council	Unions with at least 20% support IR Code s.14(4)
Old term "trade dispute"	Now "industrial dispute" IR Code s.2(q)
Hoxie's five types	Business, friendly or uplift, revolutionary, predatory, dependent. Not evolutionary
Right to strike	Common law right, not a fundamental right. Code rules: IR Code ss.62, 63

Test yourself

1. A unit has 1,100 workers. How many members does a union need to apply for registration under the Code?
2. What is the minimum age to be a member of a registered union under the Code?
3. Is registration of a trade union compulsory? Which words in the Code tell you?
4. Which union gets recognised as the sole negotiating union when an establishment has more than one registered union?
5. Which of these is not a union security measure: closed shop, union shop, agency shop, open shop?
6. Which Code section makes a strike illegal if it starts in breach of the notice rules?

Answers

1. 100, the lower of 10% (110) and 100 IR Code s.6(2).
2. 14 years, in a non-hazardous industry IR Code s.20.
3. No. Members "may apply" IR Code s.6(1).
4. The union with 51% or more of the workers on the muster roll IR Code s.14(3). If none has 51%, a negotiating council is formed IR Code s.14(4).
5. Open shop.
6. IR Code s.63(1)(i), for a strike in breach of IR Code s.62.

TOPIC 3

Collective bargaining, grievance and discipline

Collective bargaining is how employers and workers' organisations settle terms of work by negotiation. This topic covers who negotiates with the employer, how a worker's grievance is heard, and how misconduct is inquired into and punished.

LAW TODAY

IR Code s.14 (bargaining), IR Code s.4 (grievance) and IR Code s.38 (suspension), in force from 21 November 2025 (S.O. 5320(E)). They replaced OLD TU Act 1926, OLD IESO Act 1946 and OLD ID Act 1947, repealed from the same date IR Code s.104(1). The Industrial Relations (Central) Rules 2026 (G.S.R. 342(E), 8 May 2026) and the Model Standing Orders 2026 (S.O. 2312(E), 8 May 2026) are in force on publication. The Code of Discipline is voluntary, not law.

1. With more than one union, the union with **51%** of the workers on the muster roll is the sole negotiating union IR Code s.14(3). If none has 51%, a negotiating council forms from unions with at least **20%** IR Code s.14(4). Recognition lasts **3 years**, up to 5 in all IR Code s.14(6).

2. A Grievance Redressal Committee is needed where **20 or more** workers are employed. It has equal members, a cap of **ten** (old Act: six), and a chair that rotates every year IR Code s.4.

3. A worker goes to the conciliation officer within **60 days**, through the Trade Union the worker belongs to IR Code s.4(8).

4. A suspended worker's inquiry is completed **ordinarily within 90 days** IR Code s.38(1). Subsistence allowance is **50%** for the first 90 days and **75%** after, if the delay is not directly attributable to the worker's conduct IR Code s.38(3).

5. The Giri approach favours arbitration, with courts and tribunals as a last resort. The Code of Discipline (1958) is an "essentially moral agreement", not a statute.

1. Collective bargaining

Meaning

ILO Convention No. 154, Article 2, treats collective bargaining as all negotiations between an employer, a group of employers or employers' organisations on one side, and one or more workers' organisations on the other.

The purposes are to determine working conditions and terms of employment, to regulate relations between employers and workers, and to regulate relations between employers (or their organisations) and a workers' organisation.

Beatrice Webb used the term "collective bargaining" in her 1891 book *The Co-operative Movement in Great Britain*. Say "used", not "coined".

Features commonly listed: bipartite, continuous, flexible, a group action, and a process of give and take. Its outcome is a collective agreement.

ILO Conventions

Convention	Title	Adopted	In force
C98	Right to Organise and Collective Bargaining Convention	1 July 1949	18 July 1951
C154	Collective Bargaining Convention	19 June 1981	11 August 1983

India has ratified neither C98 nor C154, as on 7 November 2026. Both statements can change, so re-check them.

Types of bargaining

Walton and McKersie (1965), *A Behavioral Theory of Labor Negotiations*, name four subprocesses of negotiation.

Subprocess	Meaning
Distributive bargaining	Win-lose over a fixed pie. Example: wages
Integrative bargaining	Win-win problem solving. Example: productivity
Attitudinal structuring	How the parties feel during and after bargaining
Intra-organisational bargaining	Discussion within each side

The book's term is "attitudinal structuring", not "restructuring".

Two further forms are **productivity bargaining** and **concessionary bargaining**. In concessionary bargaining the unions give concessions in a crisis.

Levels in India

Level	What to know
Plant or unit	The National Commission on Labour (1966 to 1969) said most agreements were at plant level. Industry-level agreements were common in Bombay and Ahmedabad textiles.
Banking	Industry-level bipartite settlements between the Indian Banks' Association and the bank unions. The first was signed on 19 October 1966.

Level	What to know
Coal	The National Coal Wage Agreement (NCWA) is negotiated through the Joint Bipartite Committee of Coal Industry (JBCCI). The NCWA-XI memorandum was signed on 20 May 2023.
Steel	The National Joint Committee for the Steel Industry (NJCS), a bipartite forum.
Ports	12 major ports only: the Bipartite Wage Negotiation Committee and the Indian Ports Association. Do not extend this to all ports.

The Indian Labour Conference (ILC) is a tripartite consultative forum of Government, employers and workers.

2. Bargaining under the Code

The Code gives a statutory route to bargain: a negotiating union or a negotiating council, as the case may be.

IR Code s.14(1) NEEDS RULES **The route**

An establishment bargains through a **negotiating union or a negotiating council**. The matters for negotiation are "as may be prescribed".

OLD TU Act 1926 had no statutory recognition of a negotiating union. The Code introduces it NEW

IR Code s.14(2) **Only one union**

Where only one registered union functions, the employer recognises it as the **sole negotiating union**, on prescribed criteria.

IR Code s.14(3) **More than one union**

The union with **51% or more** of the workers on the muster roll, verified as prescribed, is the sole negotiating union.

IR Code s.14(4) **No union has 51%**

A **negotiating council** is formed of unions with at least **20%** support. It has one representative for each 20% and for the remainder after counting each 20%.

IR Code s.14(5) **Council agreement**

An agreement is reached if the **majority** of the union representatives agree.

IR Code s.14(6) **Validity**

3 years from recognition or constitution, or a further period the employer and union mutually decide, up to **5 years** in all.

The facilities for the union are "as may be prescribed" IR Code s.14(7) NEEDS RULES. The National Commission on Labour (2002) had recommended placing recognition on the statute.

Central sphere only

These rules cover Central-sphere establishments only, in force on publication.

IR Central Rules r.9(2) **Single union**

Where only one registered union operates and has at least **30%** of the total workers, the employer recognises it as the sole negotiating union.

IR Central Rules r.9(3) **Verification of membership**

The Central Government appoints a verification officer to verify union membership. The employer bears the expense. The officer meets the employer and the unions to decide the process of verification by secret ballot. The employer may use an electronic process.

Under the proviso at IR Central Rules r.9(3)(a), the process starts **three months before** the existing recognition period expires.

IR Central Rules r.9(1) **Matters for negotiation**

They include classification of grades and categories, orders under the standing orders, wages (wage period, dearness allowance, bonus, increment and allowances), hours of work and shifts, leave and holidays, promotion and transfer policy and disciplinary procedures, quarter allotment, safety, health and working conditions, other conditions of service, and any other matter agreed.

3. The Giri approach and the voluntary codes

The Giri approach

V.V. Giri was President of India from 24 August 1969 to 24 August 1974. The Giri approach is described as that of "a firm believer in negotiation and voluntary conciliation" who "hates compulsory arbitration". Courts and tribunals are a last resort. The answer to learn is **arbitration**, meaning voluntary arbitration or mutual settlement.

Dated steps

> **Oct 1957** The tripartite Standing Labour Committee (16th session) adopts the Code of Discipline, with certain modifications.

> **May 1958** 16th Indian Labour Conference, Nainital, 19 and 20 May 1958. The Code of Discipline gets its 1958 form here. The Model Grievance Procedure is evolved at the same session. The Inter-Union Code of Conduct is among its papers: learn "1958".
>
> **Nov 1962** Industrial Truce Resolution, adopted by a joint meeting of the central organisations of employers and workers, during an emergency.
>
> **21 Nov 2025** IR Code s.14 in force: the statutory route to a negotiating union.

The 15th ILC was at New Delhi on 11 and 12 July 1957. The 16th was at Nainital in 1958, not 1957.

What the Code of Discipline says

It is an "essentially moral agreement". Its sanctions are internal to its own machinery, not legal penalties. It has no statutory effect under the IR Code.

1. No unilateral action by either side on any industrial matter.
2. Use the grievance procedure.
3. Recognise unions.

It sets recognition criteria of **15%** of the workers in the establishment (plant level) and **25%** of the workers of the industry in the local area (industry level).

Recognition figures side by side

Figure	Source	Meaning	Status
15%	Code of Discipline	Plant-level recognition	Voluntary, not law
25%	Code of Discipline	Industry-level recognition, local area	Voluntary, not law
20%	IR Code s.14(4)	Unions in a negotiating council	Law, in force
30%	IR Central Rules r.9(2)	Single union, Central sphere only	Law, in force
51%	IR Code s.14(3)	Sole negotiating union where more than one union functions	Law, in force

TRAP

Students swap 15 and 25 with 20 and 51 because all five figures are recognition thresholds. Only the last three are law: 20% and 51% in the Code, and 30% in the Central Rules only.

4. Grievance

Meaning

Jucius defines a grievance as any discontent or dissatisfaction, whether expressed or not, whether valid or not, arising out of something connected with the company that an employee thinks, believes or feels is unfair, unjust or inequitable. The IR Code does not define "grievance".

The handling models are the **open-door** type and the **step-ladder** type.

Model Grievance Procedure (1958)

It was evolved at the 16th ILC in May 1958. It is a model procedure, not a statute.

1. **Worker to the officer designated by management**
   The answer is due within 48 hours.
2. **Worker to the head of department**
   The answer is due within 3 days.
3. **Worker to the Grievance Committee**
   The Committee makes its recommendations to the manager within 7 days of the worker's request.
4. **Management gives its final decision**
   The period is 3 days from receiving the Committee's recommendations.
5. **Voluntary arbitration**
   The union and the management jointly may refer the grievance within a week of the worker receiving management's decision. It is not the worker's own right.

> **TRAP**
>
> Students confuse the Committee's period with management's period because both are short. The Committee has **7 days**. Management has **3 days**, not 7.

5. The Grievance Redressal Committee under the Code

IR Code s.4 sits in Chapter II, "Bi-partite forums", next to the Works Committee (IR Code s.3). The Works Committee and the Grievance Redressal Committee are called "preventive" forums in commentary. That is a textbook label, not a statutory term.

Who and how many

IR Code s.4(1) **Who must have one**

Every industrial establishment with **20 or more** workers. It is a duty. A Works Committee, by contrast, exists only by Government order.

OLD ID Act 1947 s.9C a Committee in establishments with 20 or more workmen SAME

IR Code s.4(2) NEEDS RULES **Members**

An **equal number** of employer and worker members. The manner of choosing them is left to rules.

OLD ID Act 1947 s.9C equal members SAME

IR Code s.4(4) **Cap and women**

The total shall not exceed **ten**. Women's representation must be at least in proportion to the share of women workers.

OLD ID Act 1947 s.9C a cap of **six**. With two members, one woman member "as far as practicable" CHANGED

IR Code s.4(3) **Chair**

Chosen alternately from the employer's and workers' representatives, on rotation **every year**.

OLD ID Act 1947 s.9C a rotating chair SAME

The ID Act chapter on grievance committees (Chapter IIB) was first inserted by Act 46 of 1982 and substituted by Act 24 of 2010, with effect from 15 September 2010.

How a grievance moves

IR Code s.4(5) NEEDS RULES **Filing**

Within **1 year** from the date the cause of action arises.

IR Code s.4(6) **Time to decide**

The Committee **may** complete within 30 days of receipt. The word is "may", not "shall".

IR Code s.4(7) **Decision**

By majority view, but only if **more than half of the worker members** agree. Otherwise it is deemed that no decision could be reached.

IR Code s.4(8) NEEDS RULES **Next step**

Within **60 days** the worker applies to the **conciliation officer**, through the Trade Union of which the worker is a member.

OLD ID Act 1947 s.9C an aggrieved workman could appeal to the employer, who had one month to dispose of it. The Code drops the employer appeal and moves an unresolved grievance to conciliation REMOVED

Central sphere only

The Central Rules 2026 cover Central-sphere establishments only, in force on publication.

Rule	What it says
IR Central Rules r.6(1)	In an establishment with 20 or more workers, equal employer and worker members, not more than ten in all
IR Central Rules r.6(3)	A negotiating union nominates the worker members. For a negotiating council, each registered union in it is nominated in proportion to its members. With neither, the workers choose among themselves
IR Central Rules r.6(4)	A member's term is **3 years**
IR Central Rules r.7(2), 7(3)	The worker's application is filed within one year from the date the cause of action arose. It can be sent electronically
IR Central Rules r.8	A worker aggrieved by the decision, or whose grievance is not resolved within 30 days, may apply to the conciliation officer within **60 days**, online, by speed post or in person, through the union of which the worker is a member

6. Discipline: misconduct and domestic inquiry

Kinds of discipline

Kind	Meaning
Positive discipline	Training of the mind towards self-control
Negative discipline	Punitive, corrective or autocratic discipline with penalties

Kind	Meaning
Progressive discipline	Escalates: oral reprimand, then written reprimand, then second written warning, then temporary suspension, then dismissal or discharge

These are textbook labels, not words of the Code.

Misconduct under the Model Standing Orders 2026

The list is in Model SO 2026 Schedule A cl.24(5) (mining), Model SO 2026 Schedule B cl.23(5) (manufacturing) and Model SO 2026 Schedule C cl.24(5) (service), in the same words for the shared items. Schedule A has 23 items, (a) to (w). The service schedule has 24, with (x) added.

Item	Misconduct
(a)	Theft, fraud or dishonesty in connection with the employer's business or property
(c)	Wilful insubordination or disobedience, alone or with others, of any lawful or reasonable order of a superior. The order "shall normally be in writing"
(d)	Habitual late attendance and habitual absence without leave or without sufficient cause
(e)	Drunkenness, fighting, or riotous, disorderly or indecent behaviour while on duty at the place of work
(r)	Going on an illegal strike, singly or with others, without fourteen days' previous notice

"Habitual" means committing the misconduct **three or more times in the preceding twelve months**. The list also covers bribes, habitual neglect of work, wilful damage to property, sleeping on duty, malingering or slowing down, conviction for an offence involving moral turpitude, continuous absence of more than ten days without permission, false information at appointment, threatening or assaulting a superior or co-worker, disclosing confidential information, refusing a charge-sheet, and sexual harassment under the 2013 Act.

Domestic inquiry

The clause numbers below are from Schedule A (mining), Model SO 2026 Schedule A cl.24.

1. **Employer suspends**
   The worker may be suspended pending investigation or enquiry into complaints or charges of misconduct Model SO 2026 Schedule A cl.24(1). Subsistence allowance is paid on the condition that the worker takes no employment elsewhere during the suspension Model SO 2026 Schedule A cl.24(3).

2. **Statement of reasons**
   The employer gives the worker a statement setting out in detail the reasons for suspension within a week of the suspension Model SO 2026 Schedule A cl.24(6)(b).

3. **Enquiry**
The worker may appear in person, or be represented by an office-bearer of a Trade Union of which he is a member, or by a co-worker of his choice Model SO 2026 Schedule A cl.24(6)(c). The clause does not mention lawyers. The proceedings are recorded in Hindi, English or the language of the State, whichever the charged worker prefers Model SO 2026 Schedule A cl.24(6)(d).

4. **Time**
The enquiry proceedings are completed within 90 days. The enquiry officer may extend the period for reasons recorded in writing Model SO 2026 Schedule A cl.24(6)(e).

5. **Finding and penalty**
If the worker is found guilty, he gets a reasonable opportunity to make a representation on the proposed penalty. The employer then passes an order of dismissal, suspension, fine, stoppage of annual increment or reduction in rank, if it considers that penalty meets the ends of justice Model SO 2026 Schedule A cl.24(6)(f). The authority weighs the gravity of the misconduct, the worker's antecedents and any extenuating or aggravating circumstances. A copy of the order goes to the worker Model SO 2026 Schedule A cl.24(7).

6. **Effect on pay**
On dismissal, the worker is treated as absent for the suspension and gets no remuneration for it. The subsistence allowance already paid is not recovered. On fine, stoppage of increment or reduction in rank, the worker is treated as on duty and gets wages less the subsistence allowance paid. If not guilty, the worker is deemed on duty for the suspension and gets the same wages as if not suspended, less the subsistence allowance paid Model SO 2026 Schedule A cl.24(6)(g).

7. **Appeal**
The worker may appeal within 21 days of receiving the order to the appellate authority the employer specifies. That authority hears the worker and passes an order within 15 days of receiving the appeal Model SO 2026 Schedule A cl.24(8).

TRAP

Students merge the two 90-day clocks because both are 90 days. The enquiry officer's limit is 90 days, extendable for recorded reasons Model SO 2026 Schedule A cl.24(6)(e). Separately, Model SO 2026 Schedule A cl.24(2) asks for investigation and enquiry together, ordinarily within 90 days of suspension.

The Model Standing Orders list five penalties and do not label them minor or major. Those labels come from Government service rules.

Natural justice and the Supreme Court

1. Two limbs: *audi alteram partem* (hear the other side) and *nemo judex in causa sua* (no one is a judge in his own cause).

2. **A.K. Kraipak v. Union of India**, decided 29 April 1969, AIR 1970 SC 150.

3. A reasoned order is also expected: **Kranti Associates v. Masood Ahmed Khan** (2010) 9 SCC 496, para 51.

4. Stages of a domestic enquiry (**Kushal Bhan** 1960, **Firestone Tyre** 1973 and 1981): a charge-sheet first; notice and a chance to defend; an enquiry officer who is not a witness; findings; punishment by the employer.

7. Subsistence allowance and the 90-day clock

IR Code s.38 sets the rules for a suspended worker.

IR Code s.38(1) Time limit

Where a worker is suspended, the investigation or inquiry (or both, if an investigation is followed by an inquiry) shall be completed **ordinarily within 90 days** from the date of suspension. "Ordinarily" makes it a norm, not an absolute bar.

OLD IESO Act 1946 s.10A had no time limit for completing the inquiry NEW

IR Code s.38(2) Duty

The standing orders "shall provide" that the employer pays subsistence allowance during suspension.

OLD IESO Act 1946 s.10A(1) put the duty on the employer directly CHANGED

IR Code s.38(3)(a) First 90 days

50% of the wages the worker was entitled to immediately before suspension.

OLD IESO Act 1946 s.10A(1) 50% for the first ninety days SAME

IR Code s.38(3)(b) Remaining period

75% of those wages, if the delay in completing the proceedings is not directly attributable to the worker's conduct.

OLD IESO Act 1946 s.10A(1) 75% for the remaining period, on the same condition SAME

What changed

Point	Before	Now	
Recognition	No statutory negotiating union OLD TU Act 1926	Sole negotiating union or negotiating council IR Code s.14	NEW
Committee cap	6 members OLD ID Act 1947 s.9C	**10** members IR Code s.4(4)	CHANGED
Committee size trigger	20 or more workmen, equal members OLD ID Act 1947 s.9C	20 or more workers, equal members IR Code ss.4(1), 4(2)	SAME
Committee chair	Rotates OLD ID Act 1947 s.9C	Rotates every year IR Code s.4(3)	SAME
Employer appeal	To the employer, one month to dispose OLD ID Act 1947 s.9C	None. Unresolved grievance goes to the conciliation officer IR Code s.4(8)	REMOVED
Inquiry time limit	None OLD IESO Act 1946 s.10A	Ordinarily **90 days** IR Code s.38(1)	NEW
Allowance rates	50% then 75% OLD IESO Act 1946 s.10A(1)	50% then 75% IR Code s.38(3)	SAME
Who pays allowance	The employer, directly OLD IESO Act 1946 s.10A(1)	Through the standing orders IR Code s.38(2)	CHANGED

Numbers on one scale

Time limits

- **3 days** management's final decision in the Model Grievance Procedure
- **7 days** the Grievance Committee's recommendations in the Model Grievance Procedure
- **15 days** the appellate authority's order Model SO 2026 Schedule A cl.24(8)
- **21 days** to appeal against a penalty order Model SO 2026 Schedule A cl.24(8)
- **30 days** the Grievance Redressal Committee may complete its work IR Code s.4(6)
- **60 days** to approach the conciliation officer IR Code s.4(8)
- **90 days** inquiry on a suspended worker, ordinarily IR Code s.38(1)
- **1 year** to file a grievance with the Committee IR Code s.4(5) NEEDS RULES

Quick revision

Sole negotiating union	51% of workers on the muster roll IR Code s.14(3). Single union in Central sphere: 30% IR Central Rules r.9(2)
Negotiating council	Unions with 20% or more; one representative per 20% IR Code s.14(4)
Recognition validity	3 years, up to 5 in all IR Code s.14(6)
ILO conventions	C98 (1949) Right to Organise and Collective Bargaining; C154 (1981) Collective Bargaining. India has ratified neither
Walton and McKersie (1965)	Distributive, integrative, attitudinal structuring, intra-organisational
Code of Discipline	Voluntary. Recognition: 15% plant, 25% industry. Standing Labour Committee October 1957; 16th ILC Nainital, May 1958
Giri approach	Arbitration
Model Grievance Procedure (1958)	48 hours; 3 days; Committee 7 days; management 3 days; arbitration within a week

Grievance Redressal Committee	20 or more workers; equal members; cap ten; chair rotates yearly IR Code s.4
GRC time limits	File within 1 year; Committee may finish in 30 days; conciliation officer within 60 days IR Code ss.4(5), 4(6), 4(8)
Misconduct, "habitual"	Three or more times in the preceding twelve months Model SO 2026 Schedule A cl.24(5)
Inquiry steps	Reasons within a week; 90 days; appeal in 21 days; decided in 15 Model SO 2026 Schedule A cl.24
Subsistence allowance	50% for the first 90 days; 75% after, if the delay is not directly attributable to the worker's conduct IR Code s.38(3). Inquiry ordinarily within 90 days IR Code s.38(1), new in the Code

Test yourself

1. An establishment has three registered unions and none has 51% of the workers. Who bargains with the employer, and which unions get a seat?
2. For how long does recognition of a negotiating union or council last under the Code?
3. What is the maximum size of a Grievance Redressal Committee under the Code, and what was it under the ID Act?
4. A worker's grievance is not resolved by the Committee. Within what period, and through whom, can the worker approach the conciliation officer?
5. What are the subsistence allowance rates under the Code, and which part of the rule is new?
6. In the Model Grievance Procedure, how long does the Grievance Committee have, and how long does management have after that?

Answers

1. A negotiating council, made up of unions with at least 20% support IR Code s.14(4).
2. 3 years, or a further period the employer and union mutually decide, up to 5 years in all IR Code s.14(6).
3. Ten under the Code IR Code s.4(4). Six under OLD ID Act 1947 s.9C.
4. Within 60 days, through the Trade Union of which the worker is a member IR Code s.4(8).
5. 50% of wages for the first 90 days and 75% after, if the delay is not directly attributable to the worker IR Code s.38(3). The new part is the ordinary 90-day limit on the inquiry IR Code s.38(1).

6. The Committee has 7 days from the worker's request. Management has 3 days from receiving the Committee's recommendations.

TOPIC 4

Industrial disputes and their settlement

This topic is about what an industrial dispute is, who is covered, how a dispute travels from the shop floor to a Tribunal, and the rules for strikes, lock-outs, lay-off, retrenchment and closure. It also covers the penalties for breaking these rules.

LAW TODAY

The Industrial Relations Code, in force from 21 November 2025 (S.O. 5320(E)). It repealed OLD ID Act 1947 from the same date IR Code s.104(1). Old Tribunals and authorities keep working until the matching Code bodies are functional IR Code s.104(1A). A Code Tribunal exists only once the appropriate Government notifies it IR Code s.44(1).

1. **Industrial dispute** means employer v employer, employer v worker or worker v worker IR Code s.2(q). An individual worker's dispute over discharge, dismissal, retrenchment or termination is deemed an industrial dispute IR Code s.4(9). The worker may go to the Tribunal after **45 days** IR Code s.4(10) and within **2 years** IR Code s.4(11).

2. **Strike notice** binds every industrial establishment: give it within **60 days** before striking, and do not strike within **14 days** of it IR Code s.62(1).

3. **Machinery:** conciliation officer, then a two-member Tribunal IR Code s.44(2), and a National Industrial Tribunal for national matters IR Code s.46. There is no Board of Conciliation and no Court of Inquiry.

4. **Prior permission** for lay-off, retrenchment and closure applies at **300 or more** workers, or a higher number the Government notifies IR Code s.77(1). It was 100 workmen OLD ID Act 1947 Ch VB .

5. **Closure notice** is 60 days in the ordinary case IR Code s.74(1), or an application for permission 90 days before in Chapter X IR Code s.80(1).

1. Industrial dispute

IR Code s.2(q) Industrial dispute

A dispute or difference between **employers and employers, employers and workers, or workers and workers**.

It must be connected with employment or non-employment, the terms of employment, or the conditions of labour, of any person.

New limb: it also includes a dispute between an **individual worker** and the employer connected with, or arising out of, discharge, dismissal, retrenchment or termination of that worker.

OLD ID Act 1947 s.2(k) the same three pairings and the same subject matter, with no individual limb CHANGED

The individual worker's route: three sections

Point	IR Code	Old ID Act	Change
Deemed dispute, even if no other worker or union is a party	IR Code s.4(9)	OLD ID Act 1947 s.2A(1)	Same idea
Direct application	IR Code s.4(10): to the Tribunal, after **45 days** from the date of the application to the conciliation officer	OLD ID Act 1947 s.2A(2): to the Labour Court or Tribunal, after 45 days	Forum is the Tribunal only
Time limit	IR Code s.4(11): before **2 years** pass from the discharge, dismissal, retrenchment or termination	OLD ID Act 1947 s.2A(3): 3 years	Cut from 3 to 2 years

TRAP

Students confuse the three sections because all of them deal with the individual worker. The individual limb sits in the definition IR Code s.2(q). The deeming rule is IR Code s.4(9), the 45 days is IR Code s.4(10), and the 2-year limit is IR Code s.4(11).

The printed text of IR Code s.4(10) refers to "any worker as is specified in sub-section (5)". Sub-section (5) is the Grievance Redressal Committee application. The words are quoted here as printed.

Old term: trade dispute

The words "trade dispute" no longer appear in the Code. The same three subject heads (employment or non-employment, terms of employment, conditions of labour) now sit in "industrial dispute" IR Code s.2(q) , which says "workers" where the old words said "workmen".

"Trade Union dispute" is a different term. It now means a dispute between two or more Trade Unions, or between members of one Trade Union IR Code s.2(zm).

2. Industry and the triple test

IR Code s.2(p) **Industry**

Any **systematic activity** carried on by co-operation between an employer and a worker (employed directly or through any agency, including a contractor) for the production, supply or distribution of goods or services to satisfy human wants or wishes, not being wants merely spiritual or religious.

It is an industry whether or not capital has been invested, and whether or not the activity is carried on for gain or profit.

OLD ID Act 1947 s.2(j) repealed. The Code text follows the 1982 text of that section, which the Court said was never notified CHANGED

Four exclusions

1. Charitable, social or philanthropic institutions, owned or managed by organisations wholly or substantially engaged in such service.
2. Sovereign functions of the appropriate Government. This includes all activities of Central Government departments dealing with defence research, atomic energy and space.
3. Domestic service.
4. Any other activity the Central Government notifies.

The triple test (Rajappa, 1978)

In **Bangalore Water Supply and Sewerage Board v. A. Rajappa** (decided 21 February 1978 by a seven-judge Bench; 1978 AIR 548 = (1978) 2 SCC 213) the Supreme Court said an enterprise is prima facie an "industry" where there is:

1. Systematic activity

The work is organised and regular.

2. Co-operation

It is organised by co-operation between employer and employee.

3. Goods or services

It produces or distributes goods and services to satisfy human wants and wishes, not spiritual or religious ones.

- Absence of a profit motive or gainful objective is irrelevant, whether the venture is public, joint, private or other.
- Professions, clubs, educational institutions, co-operatives, research institutes and charitable projects cannot be exempted if they meet the triple tests. Small exceptions exist for simple ventures with no real employees and for eleemosynary missions.
- Only sovereign functions "strictly understood" are exempt. Welfare activities of economic ventures run by Government are not (the dominant nature test). Chandrachud J, in a separate opinion, would not except sovereign functions at all.
- Hospitals: the Court **approved** State of Bombay v. Hospital Mazdoor Sabha (1960). It overruled other decisions such as Cricket Club of India and Madras Gymkhana.
- The triple-test opinion is the lead opinion of Krishna Iyer J, for himself, Bhagwati J and Desai J. The other judges wrote separately.

TRAP

Students say Rajappa overruled Hospital Mazdoor Sabha because a common explanation sits next to the answer. The judgment says the opposite: it approved that case.

Under the Code, and the 2026 nine-judge bench

The three elements now sit in the text of IR Code s.2(p), and the case name still marks their source.

State of U.P. v. Jai Bir Singh **2026 INSC 897, decided 20 August 2026**

A **nine-judge bench** reconsidered the triple test for "industry" under old OLD ID Act 1947 s.2(j). It wrote **five separate opinions**. This is a court statement on the old Act, not a Code rule.

- CJI Surya Kant (for himself, Sharma, Aradhe and Pancholi JJ) said the triple test was "susceptible to further refinement" and "would have been more appropriately structured, hypothetically speaking" in reformulated terms (para 287(ii)). The reformulation is "no more than our considered opinion" and "not intended to displace the governing legal position in respect of pending proceedings" (para 287(iii)).
- Matters pending under the ID Act "may be adjudicated in accordance with the Triple Test laid down in Bangalore Water Supply" (para 287(iii)).
- The CJI opinion refrains from examining the IR Code definition (para 287(v)). Rajappa "shall not be regarded as the sheet anchor for the interpretation of the IR Code" (para 287(vi)). The ruling is confined to disputes under the ID Act (para 288).
- Datta J (with Bhuyan J), para 76: "Bangalore Water Supply (supra) does not require reconsideration".

So the answer to "which case laid down the triple test" is still Rajappa. But IR Code s.2(p) is read on its own text.

Point	Rajappa (1978)	IR Code IR Code s.2(p)
Profit motive	Irrelevant	Not needed: gain or profit and invested capital do not matter

Point	Rajappa (1978)	IR Code IR Code s.2(p)
Charitable institutions	Inside "industry" if the triple tests are met	Excluded outright, by who owns or manages the institution
Sovereign functions	Only sovereign functions "strictly understood" are exempt	Any activity of the appropriate Government relatable to its sovereign functions, with Central departments for defence research, atomic energy and space

The Code is narrower than Rajappa on the exclusions only. Rajappa excludes by activity. The Code excludes charitable institutions by owner, and sovereign functions by activity.

3. Worker versus workman

IR Code s.2(zr) Worker

A person employed in any industry to do **manual, unskilled, skilled, technical, operational, clerical or supervisory** work, for hire or reward, express or implied.

Included: working journalists (Working Journalists Act 1955, definition clause (f)) and sales promotion employees (Sales Promotion Employees (Conditions of Service) Act, 1976, definition clause (d)).

Excluded: an apprentice under the Apprentices Act 1961; persons under the Air Force, Army or Navy Acts; police service; officer or employee of a prison; persons mainly in a managerial or administrative capacity; and a person in a supervisory capacity drawing wages above **Rs 18,000 per month**, or an amount the Central Government notifies.

OLD ID Act 1947 s.2(s) "workman": the same work list, but apprentices included, no named mention of journalists or sales promotion in the central text, and the supervisor ceiling was wages above **Rs 10,000** per month, or mainly managerial functions CHANGED

Point	Worker (Code)	Workman (old Act)
Work list	Same	Same
Apprentice	Excluded	Included
Journalists, sales promotion	Expressly included	Not named in the central text; Kerala and Assam amendments added sales-promotion work
Supervisor ceiling	Rs 18,000 per month, or a notified amount	Rs 10,000 per month, or mainly managerial functions

Point	Worker (Code)	Workman (old Act)
Police, prison, armed forces, managers	Excluded	Excluded; the Code keeps these

The Code raises the money limit to Rs 18,000 and drops the "managerial functions" limb of the supervisor rule. The figure may change by notification.

TRAP

Students treat "worker" and "workman" as the same because the work list matches. The testable differences are apprentices (excluded in the Code, included in the Act) and the Rs 18,000 against Rs 10,000 ceiling.

4. Strike, lock-out and other forms of conflict

Term	IR Code	Old ID Act
Strike IR Code s.2(zk)	A cessation of work by a body of persons employed in any industry acting in combination. It also covers a concerted refusal, or a refusal under a common understanding, of any number of persons who are or have been so employed to continue to work or to accept employment. It includes **concerted casual leave on a given day by 50% or more** of the workers.	OLD ID Act 1947 s.2(q): the same two limbs, no casual-leave limb
Lock-out IR Code s.2(u)	The **temporary** closing of a place of employment, or the suspension of work, or the refusal by an employer to continue to employ any number of persons employed by him	OLD ID Act 1947 s.2(l): the same words
Closure IR Code s.2(h)	The **permanent** closing down of a place of employment or part of it. This is the contrast with a lock-out	OLD ID Act 1947 s.2(cc): the same words

TRAP

The casual-leave limb needs both "on a given day" and "50% or more" of the workers.

The right to strike is a **common law right**. The Code does not grant a right to strike. It regulates strikes IR Code s.62 and makes some illegal IR Code s.63.

Types of strike (textbook labels, not statute)

The Code defines only "strike". The names below come from textbooks and cases.

Name	Meaning
Sit-down, stay-in, tool-down, pen-down	Workers stay at the workplace without doing their work. In a pen-down strike, clerical workers refuse to use their pens (Punjab National Bank v Its Workmen, 1959).
Lightning strike	A strike without notice (Sadul Textile Mills v Workmen, 1958). Under the Code a strike without the notice is illegal in an industrial establishment IR Code ss.62, 63(1).
Absenteeism, labour turnover	Textbook forms of unorganised industrial unrest. The statute uses neither word.

Go-slow, gherao and damage to property

- **Go-slow** IR Code Second Schedule Part II item 5: more than one worker in an establishment conjointly work more slowly and with less effort than usual, to persuade the employer to agree to higher pay, better service conditions or another demand.
- Staging, encouraging or instigating wilful go-slow, squatting on the work premises after working hours, or "gherao" of any member of the managerial or other staff is an **unfair labour practice** by workers and Trade Unions IR Code s.84. The statute does not say "illegal", "criminal" or "misconduct".
- Inciting or indulging in wilful damage to the employer's property connected with the industry is also an unfair labour practice by workers (item 7). The Code never uses the word "sabotage".

OLD ID Act 1947 Fifth Schedule Part II item 5 listed go-slow and gherao. The Code carries the item over and adds a definition of go-slow CHANGED

Case law, kept apart from the statute: go-slow is serious misconduct (Bank of India v T.S. Kelawala, 1990; Bharat Sugar Mills v Jai Singh, 1961). The Code defines go-slow separately from "strike", but does not say "not a strike".

Gherao: the Calcutta High Court (Jay Engineering Works v State of West Bengal, 1967) said a gherao "may or may not amount to a strike, but when accompanied by violence or the commission of any offence, can never be lawful". This is a High Court view, not a Supreme Court rule.

5. Route of a dispute under the Code

An individual grievance starts at step 1 and reaches the conciliation officer at step 3 IR Code s.4(8). At step 4 the officer holds proceedings where a dispute exists or is apprehended, or a strike notice has been given IR Code s.53(1) NEEDS RULES.

1. **Worker to Grievance Redressal Committee (GRC)**
   The aggrieved worker files within **1 year** from the date the cause of action arises IR Code s.4(5) NEEDS RULES.

2 **GRC decides**
It may finish within **30 days** of receiving the application IR Code s.4(6). It decides by majority view, but only if more than half of the worker members agree IR Code s.4(7).

3 **Worker to conciliation officer**
Within **60 days** of the decision (or of the end of the 4(6) period with no resolution), the worker applies for conciliation through the Trade Union of which he is a member IR Code s.4(8) NEEDS RULES.

4 **Conciliation officer**
The report is due within **45 days** of the start of proceedings, or within **14 days** where a strike notice was received IR Code s.53(5). The parties may extend the time by written agreement, with the officer's approval. The officer cannot hold proceedings after **2 years** from the date the dispute arose IR Code s.53(1).

5 **Outcome of conciliation**
Settlement: the officer sends a report and the memorandum of settlement signed by the parties to the appropriate Government IR Code s.53(3). No settlement: the officer sends the parties and the Government a full report, in electronic or other prescribed form, saying why it failed IR Code s.53(4).

6 **Tribunal**
A concerned party applies in the prescribed form within **90 days** of receiving the failure report IR Code s.53(6) NEEDS RULES. An individual worker may instead apply directly after 45 days from the conciliation application IR Code s.4(10), and before 2 years from the termination IR Code s.4(11). This works only once a Tribunal is in place IR Code s.44(1).

7 **Award**
It is communicated to the parties and the appropriate Government IR Code s.55(2) and becomes enforceable on the expiry of **30 days** from communication IR Code s.55(3).

Two other lanes: employer and workers may refer a dispute to voluntary arbitration by written agreement IR Code s.42(1). The Central Government may refer a dispute of national importance, or affecting establishments in more than one State, to a National Industrial Tribunal IR Code s.54(1).

6. Time limits on one page

Cue	Limit	Section
Worker to GRC	1 year from the cause of action	IR Code s.4(5)
GRC target	30 days ("may", not "shall")	IR Code s.4(6)
Worker to conciliation officer	60 days	IR Code s.4(8)
Direct to Tribunal	After 45 days from the conciliation application	IR Code s.4(10)

Cue	Limit	Section
Direct to Tribunal, outer limit	Before 2 years from the termination	IR Code s.4(11)
Officer's bar	No proceedings after 2 years from the date the dispute arose	IR Code s.53(1) proviso
Officer's report	45 days; 14 days with a strike notice	IR Code s.53(5)
Party to Tribunal after failure report	90 days	IR Code s.53(6)
Award enforceable	30 days from communication	IR Code s.55(3)

TRAP

There are two different "2 years" limits: the officer's bar IR Code s.53(1) and the worker's direct application IR Code s.4(11). Students confuse them because both say 2 years. One is counted from the date the dispute arose, the other from the termination.

The old "14 days in the general case" for the conciliation report was the figure in OLD ID Act 1947 s.12(6). The Code keeps 14 days only where a strike notice was received.

7. Bi-partite forums: Works Committee and GRC

The Code heading is "Bi-partite forums" IR Code Ch II. They are two bodies inside the establishment.

Point	Works Committee IR Code s.3	Grievance Redressal Committee IR Code s.4
Threshold	**100 or more** workers employed, or employed on any day in the preceding 12 months	**20 or more** workers
Automatic?	No. The appropriate Government "may" require it by general or special order. Manner of constitution is prescribed	Yes. Every such establishment "shall" have one or more committees
Members	Worker representatives not less than employer representatives ("not less than", not "equal")	An equal number of employer and worker members
Job	Promote amity and good relations, comment on matters of common interest, and try to compose material differences	Resolve disputes arising out of individual grievances

- GRC: not more than **10** members in all IR Code s.4(4). Women must be adequately represented, at least in proportion to the share of women workers IR Code s.4(4) proviso. The chairperson is chosen

alternately from the employer's and the workers' representatives, rotating every year IR Code s.4(3).

- Works Committee: worker representatives are chosen from the workers engaged in the establishment, in the prescribed manner, in consultation with their registered Trade Union, if any IR Code s.3(2) NEEDS RULES.

OLD ID Act 1947 s.3 had the same Works Committee rule; the Code carries it forward with "workers" for "workmen" SAME. OLD ID Act 1947 s.9C set up the grievance committee for 20 or more workmen, with equal members, a rotating chair and a cap of 6 members CHANGED. An aggrieved workman could also appeal to the employer, who had one month to dispose of it. The Code drops that appeal and moves an unresolved grievance to conciliation.

> **IR Code s.28(1) Standing orders threshold**
>
> Standing orders apply at **300 or more** workers on any day of the preceding 12 months (Chapter IV).
>
> OLD IESO Act 1946 applied at 100 or more workmen CHANGED

8. Conciliation

Point	IR Code	Old ID Act
Officer	IR Code s.43(1): the appropriate Government appoints, by notification, as many conciliation officers as it thinks fit, to mediate in and promote settlement	OLD ID Act 1947 s.4(1): the same
Duty to hold proceedings	IR Code s.53(1) NEEDS RULES: the officer "shall" hold proceedings where a dispute exists or is apprehended, or a strike notice has been given	OLD ID Act 1947 s.12(1): "may", and "shall" only for a public utility service with a notice
Report time	45 days; 14 days with a strike notice IR Code s.53(5)	14 days, extendable by written agreement OLD ID Act 1947 s.12(6)
After failure	The party applies to the Tribunal within 90 days IR Code s.53(6)	Government decides OLD ID Act 1947 s.12(5): it may refer to a Board, Labour Court, Tribunal or National Tribunal, or record its reasons for not referring

When conciliation proceedings start and end IR Code s.60

- **Starts:** on the first meeting held by the officer after receiving a strike or lock-out notice IR Code s.60(1). Old: the date a notice reached the officer, or the date of the order referring the dispute to a Board OLD ID Act 1947 s.20(1).
- **Ends with settlement:** memorandum of settlement signed by the parties IR Code s.60(2)(a). Same as OLD ID Act 1947 s.20(2)(a).
- **Ends with no settlement:** the officer records **failure of conciliation** IR Code s.60(2)(b). Old: the officer's report is received by the appropriate Government, or the Board's report is published OLD ID Act 1947 s.20(2)(b).
- **Ends by reference:** a reference is made to a National Industrial Tribunal during the pendency IR Code s.60(2)(c). Old: a reference to a Court, Labour Court, Tribunal or National Tribunal OLD ID Act 1947 s.20(2)(c).
- Arbitration, Tribunal and NIT proceedings start on the date of filing the application or appeal, or of the reference, and are deemed to end on the date the award becomes enforceable IR Code s.60(3).

Conciliation is a process in which a third person brings the representatives of workers and employer together and helps them, through mediation, to reach a mutually satisfactory agreement. The Code keeps it, run by the conciliation officer IR Code ss.43, 53. IR Code s.43(1) uses the word "mediating".

9. Voluntary arbitration

Point	Rule IR Code s.42
Agreement	Where a dispute exists or is apprehended and employer and workers agree, they may refer it by written agreement to the arbitrator(s) named in it IR Code s.42(1).
Even number of arbitrators	The agreement must name an umpire, whose view prevails if the arbitrators are equally divided IR Code s.42(2).
Form and copy	Prescribed form and signature; a copy goes to the appropriate Government and the conciliation officer IR Code ss.42(3), 42(4) NEEDS RULES.
Third parties	If the persons making the reference represent the majority of each party, the Government may notify it. Concerned employers and workers who are not parties then get a chance to present their case IR Code s.42(5) NEEDS RULES.
Award	The arbitrator investigates and submits the signed award to the appropriate Government IR Code s.42(6).
Strike or lock-out	After a notification under IR Code s.42(5), the Government may by order prohibit the continuance of any connected strike or lock-out IR Code s.42(7).
Other Act	Nothing in the Arbitration and Conciliation Act 1996 applies to arbitration under IR Code s.42 IR Code s.42(8).

OLD ID Act 1947 s.10A(1) let the parties refer a dispute to arbitration by written agreement "at any time before the dispute has been referred" under OLD ID Act 1947 s.10 to a Labour Court, Tribunal or National Tribunal. The Code's IR Code s.42(1) does not carry those words. Under OLD ID Act 1947 s.10A(3) the Government published the agreement in the Official Gazette within one month; the Code has no publication step CHANGED

10. Tribunal and National Industrial Tribunal

Point	Industrial Tribunal IR Code s.44	National Industrial Tribunal IR Code s.46
Who constitutes	The appropriate Government, by notification, one or more. It exists only once notified	The Central Government, by notification. It exists only once notified
For what	Adjudication of industrial disputes. A Tribunal constituted by the Central Government also exercises the jurisdiction of the Tribunal defined in EPF Act 1952 s.2(m)	Disputes involving questions of national importance, or likely to interest or affect establishments in more than one State
Members	**Two:** one Judicial Member and one Administrative Member IR Code s.44(2)	**Two:** one Judicial and one Administrative Member IR Code s.46(2)
Who presides	The Judicial Member, where the bench has one Judicial and one Administrative Member IR Code s.44(8)	The Judicial Member IR Code s.46(5)

Members and benches

- NIT members IR Code ss.46(3), 46(4): the Judicial Member is or has been a High Court Judge. The Administrative Member is or has been a Secretary to the Government of India or of equivalent rank, with adequate experience of labour matters.
- A Tribunal bench is a Judicial Member with an Administrative Member, a single Judicial Member, or a single Administrative Member IR Code s.44(3).
- A person who has held a post below the rank of Joint Secretary (or equivalent) in the Central or a State Government cannot be appointed Administrative Member of a Tribunal constituted by the Central Government IR Code s.44(4) proviso.
- A **two-member bench** hears only five types of case: application and interpretation of standing orders; discharge or dismissal of workmen including reinstatement or relief; illegality of a strike or lock-out; retrenchment and closure; Trade Union disputes. All other cases go to a bench of one Judicial Member or one Administrative Member IR Code s.44(7).

Decisions and limits

- The Tribunal or NIT decides by consensus of its members. If members differ, they state the points and refer them to the appropriate Government, which appoints a Judicial Member of another Tribunal or NIT to hear them, and the majority view prevails IR Code s.47.
- No one can be a member of a Tribunal or NIT who is not an independent person or who has reached **65** IR Code s.48.
- The Code has no schedule listing Labour Court or Tribunal subject matter. Its three Schedules are standing-orders matters (First), unfair labour practices (Second) and conditions of service needing notice of change (Third). The nearest list is IR Code s.44(7).

11. What the Code removed

Do not teach these as current bodies. The Act that created them is repealed.

Board of Conciliation REMOVED

The words do not appear in the Code.

OLD ID Act 1947 s.5: a chairman and two or four other members; the chairman is independent, and the others are appointed in equal numbers to represent the parties. OLD ID Act 1947 s.13(5): report within 2 months of reference, extendable by up to 2 months in aggregate, or by written agreement REMOVED

Court of Inquiry REMOVED

The words do not appear in the Code.

OLD ID Act 1947 s.6: one independent person or several, one of them chairman.
OLD ID Act 1947 s.14: report ordinarily within 6 months from the start of the inquiry REMOVED

Labour Court REMOVED

No Labour Court. The Tribunal under IR Code s.44 replaces it. The word appears only in the transfer sections IR Code ss.51, 52.

OLD ID Act 1947 s.7: one person only, for Second Schedule matters REMOVED

One-person Tribunals CHANGED

The Tribunal has **two members** IR Code s.44(2) and the NIT has two members IR Code s.46.

OLD ID Act 1947 s.7A Industrial Tribunal: one person only. OLD ID Act 1947 s.7B National Tribunal: one person, who is or has been a High Court Judge CHANGED

12. How a dispute reaches a Tribunal, and pending cases

IR Code ss.53(6), 4(10) NEEDS RULES **By application**

A dispute reaches an Industrial Tribunal by a party's **application** (or the individual worker's direct route), not by a Government order of reference. Rules prescribe the form and manner.

OLD ID Act 1947 s.10(1): the Government "may at any time" refer a dispute to a Board, Court of Inquiry, Labour Court or Tribunal. It "shall" refer a public utility dispute with a notice, unless it finds the notice frivolous or vexatious or reference inexpedient. It "shall" refer on a joint or separate application if the applicants represent the majority of each party OLD ID Act 1947 s.10(2). The Central Government could refer a national dispute to a National Tribunal OLD ID Act 1947 s.10(1A) CHANGED

The Central Government's reference to the NIT IR Code s.54(1) is the only Government reference power in the Code's dispute chapter. The NIT hears a referred or transferred dispute expeditiously and sends its award to the Central Government within the period in the order, or any extension given IR Code s.54(2).

IR Code ss.51, 52 **Transfer of pending cases**

On commencement, cases pending in a Labour Court or Tribunal under the ID Act transfer to the Tribunal with corresponding jurisdiction. Cases in a National Tribunal transfer to the NIT IR Code s.51(1). They are dealt with de novo or from the stage at which they were pending IR Code s.51(2).

A presiding officer of an old Labour Court, Tribunal or National Tribunal, qualified under the Code, becomes the Judicial Member for the rest of his term IR Code s.52. Old bodies keep working until the Code bodies are functional IR Code s.104(1A).

13. Awards and settlements

Point	IR Code	Old ID Act
After the award	IR Code s.55(2): every arbitration award and every award of a Tribunal or NIT is communicated to the parties and the appropriate Government. No 30-day publication duty	OLD ID Act 1947 s.17(1): published by the appropriate Government within 30 days of its receipt by that Government
Enforceable	IR Code s.55(3): on the expiry of **30 days from communication**	OLD ID Act 1947 s.17A(1): 30 days from publication
Award in operation	IR Code s.58(3): **1 year** from the date it becomes enforceable	OLD ID Act 1947 s.19(3): 1 year from the date it became enforceable

Point	IR Code	Old ID Act
Settlement binds	IR Code s.58(2): for the agreed period; if none is agreed, for **6 months** from signing the memorandum	OLD ID Act 1947 s.19(2): the agreed period, else 6 months from signing
Tail after a settlement period	Until **60 days** after one party gives written notice of intention to terminate	Until **2 months** after the notice

TRAP

Students mix up 60 days and 2 months because they are close. The notice tail changed from 2 months OLD ID Act 1947 s.19(2) to 60 days IR Code s.58(2). The start of enforceability also moved, from publication to communication.

- The appropriate Government may reduce the 1-year period and fix a period it thinks fit. Before the period expires it may extend it by not more than 1 year at a time, with a total not above **3 years** from the date the award came into operation IR Code s.58(3) provisos. The old OLD ID Act 1947 s.19(3) had the same numbers.
- After the award period ends, the award stays binding until 60 days after a party gives notice of intention to terminate it IR Code s.58(6).
- A settlement comes into operation on the date the parties agree, and if none is agreed, on the date the memorandum is signed IR Code s.58(1).
- A notice to terminate a settlement or an award has effect only if a party representing the majority of the persons bound gives it IR Code s.58(7).
- Government power over awards: if it thinks it inexpedient on public grounds (national economy or social justice) to give effect to an award, it may notify that the award is not enforceable after 30 days. Within 90 days from communication it may reject or modify the award and lay it before the Legislature or Parliament. The award then becomes enforceable 15 days after laying, or after the 90 days if no order is made IR Code ss.55(3), 55(4), 55(5). This covers only awards of a Tribunal (appropriate Government) and of a NIT (Central Government).
- Subject to IR Code ss.55(3), 55(5), an award comes into operation from the date it specifies, and if none is specified, from the date it becomes enforceable IR Code s.55(6).

Legal representation IR Code s.94

Who	Rule
Worker	May be represented by an office-bearer of a Trade Union (own union, its federation, or a union connected with the industry) or a co-worker authorised as prescribed IR Code s.94(1) NEEDS RULES
Employer	May be represented by an officer of an employers' association or by another employer in the industry IR Code s.94(2) NEEDS RULES

Who	Rule
Lawyer, main rule	No party is entitled to a legal practitioner in conciliation proceedings or in proceedings before a Tribunal or NIT IR Code s.94(3)
Lawyer, exception	Before a Tribunal or NIT a party may use one with the **consent of the other parties AND the leave** of the Tribunal or NIT IR Code s.94(4). Both are needed

TRAP

Students remember "consent" and forget "leave". A lawyer is not a right. The Code names only the Tribunal and the NIT, because it has no Labour Court.

OLD ID Act 1947 ss.36(3), 36(4): no lawyer in conciliation or before a Court of Inquiry. Before a Labour Court, Tribunal or National Tribunal a party could use one with the consent of the other parties AND the leave of that forum SAME

14. Strike and lock-out: when they are barred

IR Code s.62(1) Strike bars

No person in an industrial establishment may strike, in breach of contract:

a. without giving the employer notice of strike **within 60 days before striking**. This is a window in which the notice must be given. The Code does not say "60 days' notice".
b. within 14 days of giving the notice.
c. before the expiry of the strike date named in the notice.
d. during conciliation proceedings before a conciliation officer, and for 7 days after they end.
e. during proceedings before a Tribunal or NIT, and for 60 days after they end.
f. during arbitration proceedings, and for 60 days after they end, where a notification has been issued under IR Code s.42(5).
g. during any period in which a settlement or award is in operation, on the matters it covers.

OLD ID Act 1947 s.22 bound public utility services only, with a six-week window. See the table in the next section CHANGED

Lock-out IR Code s.62(2): the same seven limbs bind an employer: notice within 60 days before locking out, none within 14 days of notice, none before the stated date, none during conciliation plus 7 days, Tribunal or NIT plus 60 days, arbitration plus 60 days (where a notification has been issued under IR Code s.42(5), as for strikes), or while a settlement or award operates.

The waiting periods on one scale:

7 days after conciliation proceedings end IR Code s.62(1)

14 days after the notice: no strike or lock-out IR Code s.62(1)

60 days the window before striking in which the notice must be given IR Code s.62(1)

60 days after Tribunal or NIT proceedings end, and after notified arbitration ends IR Code s.62(1)

- No new notice is needed where a strike or lock-out is already in existence. The employer must send intimation on the day it is declared to the authority the appropriate Government specifies IR Code s.62(3) NEEDS RULES.
- The number of persons who give the strike notice, the person to whom it goes and the manner are "as may be prescribed" IR Code s.62(4) NEEDS RULES. The lock-out notice manner is also prescribed IR Code s.62(5) NEEDS RULES.

15. Illegal strikes and lock-outs, and the old rule

- IR Code s.63(1): a strike or lock-out is **illegal** if it is commenced or declared in contravention of IR Code s.62, or continued in contravention of an order under IR Code s.42(7).
- IR Code s.63(2): one already in existence when the dispute is filed or referred is not illegal in its continuance, if it was lawful at the start and the continuance was not prohibited under IR Code s.42(7).
- IR Code s.63(3): a lock-out declared because of an illegal strike, or a strike declared because of an illegal lock-out, is not illegal.
- IR Code s.64: no person shall knowingly spend or apply any money in direct furtherance or support of any illegal strike or lock-out.
- Penalty IR Code ss.86(13), 86(14): a worker who commences or continues an illegal strike faces a fine of Rs 1,000 to Rs 10,000 or imprisonment up to 1 month, or both. An employer who does so for an illegal lock-out faces a fine of Rs 50,000 to Rs 1 lakh or imprisonment up to 1 month, or both.

Wages for the strike or lock-out period

The Code says nothing on this. The rule comes from Supreme Court judgments.

Situation	Wages	Case
Strike that is **legal and justified**	Payable	Crompton Greaves (1978); Syndicate Bank v K. Umesh Nayak (1994, five judges)
Illegal strike	Ordinarily not payable	Statesman Ltd v Their Workmen (1976)
Illegal lock-out	Full wages payable	Statesman Ltd v Their Workmen (1976)

Bank of India v Kelawala (1990) adds that wages may be lost whether the strike is legal or illegal.

Point	Old ID Act OLD ID Act 1947 ss.22, 23, 24	IR Code IR Code s.62
Who gives notice	Only persons in a public utility service, and employers carrying on one OLD ID Act 1947 s.22	Every industrial establishment. The Code has no public utility category
Notice window	Within 6 weeks before striking	Within 60 days before striking
Gap after notice	Not within 14 days	Not within 14 days
Conciliation bar	Conciliation officer plus 7 days (OLD ID Act 1947 s.22, public utility); Board plus 7 days (OLD ID Act 1947 s.23, all establishments)	Conciliation officer plus 7 days
Adjudication bar	Labour Court, Tribunal or National Tribunal plus 2 months OLD ID Act 1947 s.23	Tribunal or NIT plus 60 days
Arbitration bar	Plus 2 months, where notified under OLD ID Act 1947 s.10A(3A)	Plus 60 days, where notified under IR Code s.42(5)
Illegal if	Contravening OLD ID Act 1947 s.22 or OLD ID Act 1947 s.23, or continued against an order under OLD ID Act 1947 s.10(3) or OLD ID Act 1947 s.10A(4A) OLD ID Act 1947 s.24(1)	Contravening IR Code s.62, or continued against a IR Code s.42(7) order IR Code s.63(1)

TRAP

Students think the old Act had one notice rule. It had two parts: the notice rule was limited to public utility services OLD ID Act 1947 s.22, but OLD ID Act 1947 s.23 already barred strikes and lock-outs in all establishments, with no notice rule. The Code merges the two into IR Code s.62. "6 weeks" and "60 days" are both windows, not notice periods.

The words "public utility" and "essential service" do not appear in the Code text. The old list of public utility services and the old First Schedule list of industries that could be declared public utility services have no Code counterpart.

16. Lay-off, retrenchment and closure: definitions

Term	IR Code definition
Lay-off IR Code s.2(t)	The failure, refusal or inability of an employer, on account of shortage of coal, power or raw materials, accumulation of stocks, break-down of machinery, natural calamity or any other connected reason, to give employment to a worker whose name is on the muster rolls and who has not been retrenched
Retrenchment IR Code s.2(zh)	Termination by the employer of a worker's service for any reason whatsoever, other than as a punishment inflicted by way of disciplinary action
Closure IR Code s.2(h)	The permanent closing down of a place of employment or part of it

Retrenchment does **not** include: voluntary retirement; retirement on reaching the age of superannuation; non-renewal of a contract on expiry, or termination under a stipulation in the contract; termination for continued ill-health.

IR Code s.2(zh)(iv) Fifth exclusion

Termination as a result of completion of tenure of fixed term employment is also not retrenchment.

OLD ID Act 1947 s.2(oo) the superannuation exclusion applied only if the contract of employment had a stipulation to that effect. The Code drops that condition CHANGED

Which chapter applies?

How many workers does the establishment employ, on average per working day in the preceding 12 months?

300 or more (or a higher notified number)

Chapter X applies, if it is a factory, a mine or a plantation, and not seasonal or intermittent. Prior permission is needed IR Code ss.77(1), 77(3).

Fewer than 300

Chapter IX applies: compensation and notice, no prior permission. Below 50 workers, lay-off compensation and the closure notice do not apply IR Code ss.67 to 69, 74.

17. Chapter IX against Chapter X

Action	Chapter IX (ordinary rule)	Chapter X (300 or more workers)
Who it covers	Lay-off compensation IR Code ss.67 to 69 does not apply below 50 workers (average per working day in the preceding calendar month) or in a seasonal or intermittent establishment. The closure notice does not apply where fewer than 50 workers are employed or were employed on any day in the preceding 12 months, or to construction undertakings	IR Code s.77(1): not less than 300 workers (or a higher notified number) on average per working day in the preceding 12 months, not seasonal or intermittent. IR Code s.77(3): only a factory, a mine or a plantation
Lay-off	IR Code s.67: a muster-roll worker with at least 1 year of continuous service (not badli or casual) gets **50%** of the total of basic wages and dearness allowance for all days laid off, except weekly holidays	IR Code s.78(1) NEEDS RULES: **prior permission** of the appropriate Government on application, unless the lay-off is due to shortage of power or natural calamity, or in a mine to fire, flood, excess of inflammable gas or explosion
Retrenchment	IR Code s.70, for a worker with at least 1 year of continuous service: (a) **1 month's** written notice giving reasons, or wages in lieu; (b) **15 days'** average pay for every completed year of continuous service or part over 6 months, paid at the time of retrenchment; (c) notice to the appropriate Government	IR Code s.79(1) NEEDS RULES: **3 months'** written notice (or wages in lieu) AND prior permission of the appropriate Government. Compensation after permission IR Code s.79(9): 15 days' average pay per completed year or part over 6 months

Action	Chapter IX (ordinary rule)	Chapter X (300 or more workers)
Closure	IR Code s.74(1): notice at least **60 days** before the closure date, to the appropriate Government, stating reasons. It goes to the Government, not to workers. IR Code s.75(1): each worker with at least 1 year of continuous service gets notice and compensation as if retrenched. If the closure is from unavoidable circumstances beyond the employer's control, the IR Code s.70(b) compensation is capped at 3 months' average pay	IR Code s.80(1): apply for prior permission at least **90 days** before the closure date. Construction undertakings are exempt. Compensation IR Code s.80(8): 15 days' average pay per completed year or part over 6 months, not capped at 3 months

- The 45-day proviso to IR Code s.67: if a worker is laid off for more than 45 days in any 12 months, no compensation is payable after the first 45 days, but only if there is an agreement to that effect. Without it there is no 45-day cap.
- Deemed permission: if the appropriate Government does not communicate its order within 60 days of the application, permission is deemed granted (lay-off IR Code s.78(5); closure IR Code s.80(3), "as applied for"; retrenchment IR Code s.79(4)).
- Illegality: a lay-off, retrenchment or closure without the required application, or after refusal, is deemed illegal and the workers keep all benefits.
- Last come, first go IR Code s.71: applies to citizens of India and where there is no agreement. Re-employment preference within 1 year for retrenched workers who are citizens of India and offer themselves IR Code s.72 NEEDS RULES.

Old section numbers: IR Code s.70(a) notice was OLD ID Act 1947 s.25F(a); IR Code s.70(b) compensation was OLD ID Act 1947 s.25F(b) ("or such days as notified" is new); IR Code s.71 was OLD ID Act 1947 s.25G; IR Code s.72 was OLD ID Act 1947 s.25H; IR Code s.74 was OLD ID Act 1947 s.25FFA; IR Code s.75 was OLD ID Act 1947 s.25FFF CHANGED

18. Thresholds: 50, 100, 300

IR Code s.77(1) Prior permission: 100 became 300

Lay-off, retrenchment and closure need prior permission at **300 or more** workers, or a higher number the Government notifies. The same threshold covers all three actions IR Code ss.78, 79, 80.

OLD ID Act 1947 s.25K(1) in OLD ID Act 1947 Ch VB: not less than **100** workmen. Lay-off OLD ID Act 1947 s.25M, retrenchment OLD ID Act 1947 s.25N (3 months' notice and prior permission) and closure OLD ID Act 1947 s.25-O (apply at least 90 days before) kept the same conditions in the Code. A strike or lock-out never needed prior permission CHANGED

50 workers: below this, lay-off compensation and the closure notice do not apply IR Code ss.67 to 69, 74

100 workers: the old prior-permission threshold OLD ID Act 1947 Ch VB, and the old standing-orders threshold OLD IESO Act 1946

300 workers: prior permission today IR Code s.77(1), and standing orders today IR Code s.28(1)

TRAP

Students confuse the two 300s because the number is the same. In IR Code s.77(1) it is the prior-permission threshold. In IR Code s.28(1) it is the standing-orders threshold.

19. Worker Re-skilling Fund

New in the Code. The old Act had no such fund. It rests on rules and a notification.

IR Code s.83(1) NEEDS RULES **Set-up**

The appropriate Government sets up the fund by notification.

IR Code s.83(2)(a) **Contribution**

The employer contributes **15 days' wages last drawn** by the worker immediately before retrenchment (or such other number of days as the Central Government notifies), for every retrenched worker, in case of **retrenchment only**. There is no fund contribution for closure or lay-off.

IR Code s.83(3) NEEDS RULES **Use of the fund**

15 days' wages last drawn are credited to the retrenched worker's account within **45 days** of the retrenchment, in the prescribed manner.

IR Central Rules r.37(1) **Central Rules 2026**

(G.S.R. 342(E), 8 May 2026; in force from publication in the Gazette, IR Central Rules r.1(2); for establishments under the Central Rules, State rules may differ.) An employer who retrenches a worker must, within **10 days**, transfer an amount equal to 15 days of the worker's last drawn wages into the fund.

IR Central Rules r.37(2): the amount is credited electronically to each retrenched worker's account within 45 days of the retrenchment, by the office of the Chief Labour Commissioner (Central) or the Regional or Assistant Labour Commissioner. The employer does not credit the worker; the fund office does. IR Code s.83(3) also says 45 days.

The credit is separate from the IR Code s.70(b) compensation, so on a reading of IR Code ss.70(b), 83 the worker gets both.

20. Strike, lock-out, lay-off, retrenchment, closure: compared

Term	Who and time	Pay and notice	Prior permission
Strike IR Code s.2(zk)	Workers acting in combination. The definition does not say "temporary". Employment continues (Feroz Din, 1959)	Notice rules in IR Code s.62	None
Lock-out IR Code s.2(u)	The employer. Temporary closing. Employment continues	Notice rules in IR Code s.62(2)	None
Lay-off IR Code s.2(t)	The employer. Temporary unemployment (Firestone, 1976). The name stays on the muster roll	50% of basic wages plus dearness allowance IR Code s.67	Needed at 300 or more workers
Retrenchment IR Code s.2(zh)	The employer. The definition does not say "permanent". Employment ends, because it is termination of service	1 month's notice plus 15 days' average pay per year IR Code s.70. Chapter X: 3 months' notice and prior permission IR Code s.79(1). Re-skilling Fund: a further 15 days' last drawn wages	Needed at 300 or more workers
Closure IR Code s.2(h)	The employer. Permanent closing	As for retrenchment IR Code s.75(1); 60 days' notice IR Code s.74(1); Chapter X: apply 90 days before IR Code s.80(1)	Needed at 300 or more workers

The re-skilling credit sits only in the retrenchment case. Closure workers under Chapter X get 15 days' average pay and no fund credit.

21. Notice of change

IR Code s.40 NEEDS RULES **21 days' notice**

An employer who proposes to change the conditions of service of any worker on a **Third Schedule** matter must give the workers likely to be affected a notice of the nature of the change, in the prescribed manner, and must not make the change within **21 days** of giving the notice.

No notice is needed where the change follows a settlement or award or orders of the appropriate Government; for workers covered by listed civil service and railway rules (or other rules notified); or for an emergent change of shift made in consultation with the Grievance Redressal Committee.

OLD ID Act 1947 s.9A also gave 21 days, for the 11 items of the old Fourth Schedule. The Code adds provisos (c) and (d) to the two provisos of the old section: the emergent shift change, and orders of the appropriate Government CHANGED

TRAP

Students confuse the two "Third Schedules". The old ID Act Third Schedule listed Tribunal matters. The Code's IR Code Third Schedule lists notice-of-change matters, which is the old Fourth Schedule.

The 11 matters in the Code's Third Schedule

(1) wages, including the period and mode of payment; (2) employer's contribution to a provident or pension fund; (3) compensatory and other allowances; (4) hours of work and rest intervals; (5) leave with wages and holidays; (6) starting, alteration or discontinuance of shift working other than under standing orders; (7) classification by grades; (8) withdrawal of any customary concession, or change in usage; (9) new rules of discipline; (10) rationalisation, standardisation or improvement of plant or technique likely to lead to retrenchment; (11) increase or reduction (other than casual) in the number of persons employed.

22. Status quo and protected workers

Provision	Rule
IR Code s.90(1)(a)	While an industrial dispute is pending before a conciliation officer, an Arbitrator, a Tribunal or a NIT, no employer may alter, to the prejudice of the workers concerned, the conditions of service applicable immediately before the proceedings began, on any matter connected with the dispute, except with the express permission in writing of the authority before which it is pending
IR Code s.90(1)(b)	In the same period no employer may discharge or punish, by dismissal or otherwise, a worker concerned in the dispute for misconduct connected with the dispute, except with the same permission

Provision	Rule
IR Code s.90(1) lead-in	It covers disputes "with regard to matters not covered by the notice of change issued by an employer under" IR Code s.40
IR Code s.90(2)	For matters not connected with the dispute, the employer may alter conditions or discharge or punish for misconduct, under the standing orders (or the contract). A worker may be discharged or dismissed only after **one month's wages** are paid and the employer applies to the authority for approval
IR Code s.90(3)	Even for matters not connected with the dispute, no employer may alter to the prejudice of a **protected worker** his conditions of service, or discharge or punish him, except with the express permission in writing of the authority
Protected worker	A worker who, being a member of the executive or other office-bearer of a registered Trade Union connected with the establishment, is recognised as such under rules IR Code s.90 NEEDS RULES
IR Code s.90(4)	The number to be recognised in every establishment is **1% of the total workers employed, minimum 5, maximum 100**. Distribution among Trade Unions is for rules
IR Code s.91 NEEDS RULES	A worker aggrieved by a contravention of IR Code s.90 may complain in writing to the conciliation officer (who takes it into account in mediating) or to the arbitrator, Tribunal or NIT (who adjudicates it as if it were a dispute referred to or pending before it)

The Code names no Board of Conciliation and no Labour Court in IR Code s.90(1). Its working depends on the Tribunal and NIT being in place. Old Tribunals continue under IR Code s.104(1A).

OLD ID Act 1947 s.33 had the same status quo rule while conciliation (before an officer or a Board) or proceedings before an arbitrator, Labour Court, Tribunal or National Tribunal were pending. OLD ID Act 1947 s.33(3) defined the "protected workman" and OLD ID Act 1947 s.33(4) gave the same figures: 1%, minimum 5, maximum 100. It maps to IR Code ss.90(1), 91 SAME

TRAP

Students look for the 1%, 5 and 100 in the wrong sub-section. In the old Act they are in OLD ID Act 1947 s.33(4), not OLD ID Act 1947 s.33(3) (which defines the protected workman). In the Code they are in IR Code s.90(4).

23. Unfair labour practice

IR Code s.84 **Chapter XII**

No employer, worker or Trade Union, whether registered under the Code or not, shall commit any unfair labour practice specified in the Second Schedule. An unfair labour practice means any of the practices specified in the Second Schedule IR Code s.2(zo).

The IR Code Second Schedule has two parts. Part I is on the part of employers and trade unions of employers (16 items). Part II is on the part of workers and trade unions of workers (items 1 to 8). So the practices bind both sides.

OLD ID Act 1947 s.2(ra) defined it by the Fifth Schedule, OLD ID Act 1947 s.25T prohibited it, and OLD ID Act 1947 s.25U punished it with imprisonment up to 6 months, or a fine up to Rs 1,000, or both. The Code uses the Second Schedule and IR Code ss.86(5), 86(6) CHANGED

Side	Practice	Item
Employer	Interfere with, restrain or coerce workers in the exercise of their right to organise	Part I item 1
Employer	Dominate, interfere with or contribute support (financial or otherwise) to a Trade Union	Part I item 2
Employer	Establish employer sponsored Trade Unions of workers	Part I item 3
Employer	Discharge or dismiss workers by way of victimisation	Part I item 5(a)
Employer	Refuse to bargain collectively, in good faith, with the recognised Trade Unions	Part I item 15
Employer	Propose or continue a lock-out deemed illegal under the Code	Part I item 16
Worker or union	Advise, actively support or instigate any strike deemed illegal under the Code	Part II item 1
Worker or union	Coerce workers in the exercise of their right to self-organisation, for example by picketing that physically bars non-striking workers from the work place, or by force, violence or threats against non-striking workers or managers	Part II item 2
Worker or union	For a recognised union, refuse to bargain collectively in good faith with the employer	Part II item 3

Side	Practice	Item
Worker or union	Wilful go-slow, squatting after working hours, gherao of any member of the managerial or other staff; wilful damage to the employer's property	Part II items 5 and 7

The Second Schedule has no item about "recognising" a union. It bars establishing employer sponsored Trade Unions (item 3) and dominating or supporting a union (item 2).

24. Controlled industry

IR Code s.2(k) **Controlled industry**

Any industry the control of which by the Union has been declared by any **Central Act** to be expedient in the public interest. A State Act, a Municipal body or State control does not make an industry a controlled industry.

Why it matters: the appropriate Government is the **Central Government** for an establishment "concerning any such controlled industry as may be specified in this behalf by the Central Government" IR Code s.2(b)(i).

OLD ID Act 1947 s.2(ee) the same words SAME

25. Penalties and compounding

Penalties sit in Chapter XIII IR Code s.86. Compounding is in IR Code s.89.

Offence	First offence	Repeat offence
Contravening the prior-permission rules IR Code ss.78, 79, 80	Fine **Rs 1 lakh to Rs 10 lakh** IR Code s.86(1)	Fine Rs 5 lakh to Rs 20 lakh, or imprisonment up to 6 months, or both IR Code s.86(2)
Contravening IR Code ss.67, 70, 73, 75	Fine **Rs 50,000 to Rs 2 lakh** IR Code s.86(3)	Fine Rs 1 lakh to Rs 5 lakh, or imprisonment up to 6 months, or both IR Code s.86(4)
Unfair labour practice	Fine Rs 10,000 to Rs 2 lakh IR Code s.86(5)	Fine Rs 50,000 to Rs 5 lakh, or imprisonment up to 3 months, or both IR Code s.86(6)

Illegal strike or lock-out (first offence, with imprisonment): a worker faces a fine of Rs 1,000 to Rs 10,000, or imprisonment up to 1 month, or both IR Code s.86(13). An employer faces a fine of Rs 50,000 to Rs 1 lakh, or imprisonment up to 1 month, or both IR Code s.86(14).

TRAP

Students swap the two fine ranges. Rs 50,000 to Rs 2 lakh belongs to IR Code ss.67, 70, 73, 75 (Chapter IX duties), not to the Chapter X permission offences, which carry Rs 1 lakh to Rs 10 lakh.

"Mostly monetary penalties" is a summary, not a rule. The Code keeps imprisonment for repeat offences IR Code ss.86(2), 86(4), 86(6). Even for a first offence it keeps imprisonment for an illegal strike or lock-out, instigation, financing of an illegal strike or lock-out, breach of a settlement or award, and disclosure of confidential information IR Code ss.86(13) to 86(17), 86(19).

OLD ID Act 1947 s.25Q (lay-off or retrenchment without permission): imprisonment up to 1 month, or a fine up to Rs 1,000, or both. OLD ID Act 1947 s.25R (closure without permission): imprisonment up to 6 months, or a fine up to Rs 5,000, or both CHANGED

Compounding IR Code s.89

Offence type	Rule
Punishable with fine only	May be compounded on the accused's application, before or after prosecution, by a Gazetted Officer the appropriate Government specifies by notification, for **50%** of the maximum fine IR Code s.89(1) NEEDS RULES
Imprisonment for not more than 1 year, or fine	Compoundable for **75%** of the maximum fine
Imprisonment only, or imprisonment and fine	Cannot be compounded
Second time or later within 3 years of a similar offence that was compounded or led to conviction	No compounding IR Code s.89(2)

Worked values for fine-only offences: the maximum fine under IR Code s.86(1) is Rs 10 lakh, so 50% is Rs 5 lakh. For IR Code s.86(3) and IR Code s.86(5), the maximum is Rs 2 lakh, so 50% is Rs 1 lakh.

What changed

Point	Before	Now	
Dispute definition	No individual limb OLD ID Act 1947 s.2(k)	Individual worker's dispute included IR Code s.2(q)	CHANGED

Point	Before	Now	
Direct application	3 years, Labour Court or Tribunal OLD ID Act 1947 ss.2A(2), 2A(3)	**2 years**, Tribunal IR Code s.4(11)	CHANGED
Worker	"Workman"; apprentice included; ceiling Rs 10,000 OLD ID Act 1947 s.2(s)	"Worker"; apprentice excluded; ceiling **Rs 18,000** IR Code s.2(zr)	CHANGED
Strike definition	No casual-leave limb OLD ID Act 1947 s.2(q)	Casual leave by 50% or more on a given day IR Code s.2(zk)	CHANGED
Strike notice	Public utility services only; 6 weeks OLD ID Act 1947 s.22	Every industrial establishment; **60 days** IR Code s.62(1)	CHANGED
Conciliation report	14 days OLD ID Act 1947 s.12(6)	45 days; 14 with a strike notice IR Code s.53(5)	CHANGED
Forums	Board, Court of Inquiry, Labour Court, one-person Tribunals	Two-member Tribunal and NIT IR Code ss.44, 46	REMOVED
Reference	Government order OLD ID Act 1947 s.10(1)	Party's application IR Code s.53(6)	CHANGED
Award enforceable	30 days from publication OLD ID Act 1947 s.17A(1)	30 days from communication IR Code s.55(3)	CHANGED
Settlement tail	2 months after notice OLD ID Act 1947 s.19(2)	**60 days** after notice IR Code s.58(2)	CHANGED
Grievance committee cap	6 members OLD ID Act 1947 s.9C	10 members IR Code s.4(4)	CHANGED
Standing orders	100 workmen OLD IESO Act 1946	**300** workers IR Code s.28(1)	CHANGED
Prior permission	100 workmen OLD ID Act 1947 Ch VB	**300** workers, or higher notified IR Code s.77(1)	CHANGED
Fixed-term exclusion	Not in the list	Fifth exclusion from retrenchment IR Code s.2(zh)(iv)	NEW

Point	Before	Now	
Re-skilling Fund	None	15 days' wages for a retrenched worker IR Code s.83	NEW
Controlled industry	OLD ID Act 1947 s.2(ee)	IR Code s.2(k), same words	SAME
Status quo	OLD ID Act 1947 s.33	IR Code ss.90(1), 91, same figures	SAME

Numbers on one scale

Time limits

- **7 days** — after conciliation ends: no strike or lock-out IR Code s.62(1)
- **14 days** — after strike notice: no strike IR Code s.62(1); also the conciliation report time with a strike notice IR Code s.53(5)
- **30 days** — award enforceable after communication IR Code s.55(3); GRC target IR Code s.4(6)
- **45 days** — conciliation report IR Code s.53(5); direct application to Tribunal IR Code s.4(10)
- **60 days** — strike notice window IR Code s.62(1); worker to conciliation officer IR Code s.4(8); closure notice IR Code s.74(1); settlement tail IR Code s.58(2)
- **90 days** — party to Tribunal after failure report IR Code s.53(6); closure permission application IR Code s.80(1)
- **1 year** — worker to GRC IR Code s.4(5); award in operation IR Code s.58(3)
- **2 years** — officer's bar IR Code s.53(1); worker's direct application IR Code s.4(11)

Headcounts

- **20 workers** — Grievance Redressal Committee IR Code s.4
- **50 workers** — below this, lay-off compensation and closure notice do not apply IR Code ss.67 to 69, 74
- **100 workers** — Works Committee IR Code s.3; old prior-permission threshold OLD ID Act 1947 Ch VB
- **300 workers** — prior permission IR Code s.77(1); standing orders IR Code s.28(1)

Quick revision

Industrial dispute	Employer and employer, employer and worker, worker and worker IR Code s.2(q)
Worker's direct route	After 45 days IR Code s.4(10), before 2 years IR Code s.4(11). Old limit 3 years
Triple test	Systematic activity, co-operation of employer and employee, goods or services for human wants. Rajappa, 1978 IR Code s.2(p)
Worker v workman	Apprentice excluded; ceiling Rs 18,000 against Rs 10,000 IR Code s.2(zr)
Strike and lock-out	Strike IR Code s.2(zk); lock-out is temporary IR Code s.2(u); closure is permanent IR Code s.2(h)
Forums	Works Committee at 100 IR Code s.3; GRC at 20, up to 10 members IR Code s.4
Tribunal and NIT	Two members each IR Code ss.44(2), 46(2). No Board, no Court of Inquiry, no Labour Court
Conciliation report	45 days; 14 with a strike notice IR Code s.53(5)
Strike notice	Within 60 days before; not within 14 days after IR Code s.62(1)
Award	Enforceable 30 days after communication IR Code s.55(3); operates 1 year IR Code s.58(3)
Lawyer before Tribunal	Consent of other parties AND leave of the Tribunal IR Code s.94(4)
Prior permission	300 or more workers IR Code s.77(1); closure application 90 days before IR Code s.80(1)
Retrenchment, ordinary rule	1 month's notice, 15 days' pay per year IR Code s.70
Protected workers	1% of workers, minimum 5, maximum 100 IR Code s.90(4)
Compounding	50% of the maximum fine for fine-only offences IR Code s.89(1)

Test yourself

1. Which section defines "industrial dispute", and within what time must a dismissed worker apply directly to the Tribunal?
2. Which case gave the triple test, and what did the 2026 nine-judge bench say about using it for the Code definition of industry?
3. Which establishments must give a strike notice under the Code, and within what window?
4. When does conciliation conclude where no settlement is reached?
5. When may a party use a lawyer before a Tribunal?
6. A factory has an average of 250 workers per working day over the preceding 12 months (no higher number notified, not seasonal). Does it need prior permission to close, and what notice is required?
7. An establishment employs 2,000 workers. How many protected workers must be recognised? A fine-only offence under IR Code s.86(1) has a maximum fine of Rs 10 lakh. For what sum can it be compounded?

Answers

1. IR Code s.2(q) defines it. The worker may apply after 45 days from the conciliation application IR Code s.4(10), and before 2 years from the dismissal IR Code s.4(11). The old Act allowed 3 years.
2. Bangalore Water Supply and Sewerage Board v. Rajappa. In State of U.P. v. Jai Bir Singh (2026 INSC 897), the CJI opinion (para 287(iii), (vi)), one of five separate opinions, said pending ID Act matters may be adjudicated by that test, and that it is not the "sheet anchor" for the Code. IR Code s.2(p) is read on its own text.
3. Every industrial establishment, not only public utility services. The notice is given within 60 days before striking, and no strike may start within 14 days of the notice IR Code s.62(1).
4. When the conciliation officer records failure of conciliation IR Code s.60(2)(b). Under the old Act it was when the officer's report was received by the appropriate Government OLD ID Act 1947 s.20(2)(b).
5. Only with the consent of the other parties AND the leave of the Tribunal or NIT IR Code s.94(4). The main rule is that no party is entitled to one IR Code s.94(3).
6. No prior permission, because Chapter X applies at 300 or more workers IR Code s.77(1). The ordinary rule applies: notice at least 60 days before the closure date to the appropriate Government IR Code s.74(1), because 250 is above the 50-worker exemption.
7. 20, which is 1% of 2,000, within the minimum of 5 and maximum of 100 IR Code s.90(4). The offence is fine-only, so it can be compounded for 50% of the maximum fine, that is Rs 5 lakh IR Code s.89(1), if it is not a second offence within 3 years IR Code s.89(2).

TOPIC 5

Workers' participation in management

Workers' participation in management means workers taking part in decision-making in the enterprise. This topic covers the constitutional directive, the levels and forms of participation, the Indian schemes in order, the 1990 Bill, the Ahmedabad experiment and the committees in the Codes.

LAW TODAY

Constitution Art 43A is a Directive Principle in Part IV. It is not a statute, and the Codes do not change it. The only participation rule in the IR Code is the Works Committee IR Code s.3(1) NEEDS RULES, in force from 21 November 2025 (S.O. 5320(E)). It carries forward OLD ID Act 1947 s.3, repealed from the same date. The Safety Committee is in OSH Code s.22, in force from 21 November 2025 (S.O. 5321(E)).

1. **Article 43A** is in Part IV (Directive Principles). The 42nd Amendment Act 1976 inserted it, in force from **3 January 1977**. No court can enforce it Constitution Art 37.
2. **Five levels, in order:** information sharing, consultative, associative, administrative, decisive.
3. **Three thresholds:** Works Committee **100 or more** IR Code s.3(1); shop and joint councils (1975) **500 or more**; unit councils (1977) **100 or more**.
4. The Works Committee, the Safety Committee and the Canteen Management Committee are all workers' participation in management.
5. The 1990 Bill was introduced on **30 May 1990** and **withdrawn on 1 August 2017**. The Ahmedabad experiment was by A.K. Rice of the Tavistock Institute, at the Calico Mills.

1. Article 43A

Constitution Art 43A **Participation of workers in management**

"The State shall take steps, by suitable legislation or in any other way, to secure the participation of workers in the management of undertakings, establishments or other organisations engaged in any industry."

The Constitution (Forty-second Amendment) Act 1976 inserted it 42nd Amendment Act 1976 s.9. It took effect on **3 January 1977**. It sits in Part IV, after Art 43 and before Art 43B.

It is a duty on the State, not a worker's right. Constitution Art 37 says Directive Principles are not enforceable by any court.

Look-alike Articles

Article	Subject
Constitution Art 39A	Equal justice and free legal aid
Constitution Art 42	Just and humane conditions of work and maternity relief
Constitution Art 43A	**Participation of workers in management**; 42nd Amendment Act 1976
Constitution Art 43B	Promotion of co-operative societies; inserted by the 97th Amendment Act 2011, in force from 15 February 2012

2. Meaning, levels and forms

Workers' participation in management means workers taking part in decision-making in the enterprise. It is linked to industrial democracy.

Five levels, in order: information sharing, then consultative, then associative, then administrative, then decisive. Some texts call level 1 "informative".

The Works Committee, the Safety Committee and the Canteen Management Committee are all counted as workers' participation in management.

Form	What it is
Representation in committees	Works committees and Joint Management Councils (JMCs). Shop councils and joint councils (1975 scheme) are also forms.
Board representation	Worker-directors on the board.
Shop-floor, direct	Quality circles and suggestion schemes. An ILO working document calls them direct, management-initiated participation.
Co-ownership	Co-partnership with stock options, including employee stock option plans (ESOPs).

3. Indian schemes in order

> **1947** **Works Committee** under OLD ID Act 1947 s.3. Now IR Code s.3(1) NEEDS RULES: 100 or more workers.
>
> **1958** **Joint Management Councils (JMCs).** The model agreement dates to 1957. An All India Seminar worked it out that year, and the 15th Indian Labour Conference endorsed it.
>
> **1970** **Workman director in banks.** The Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 (Act 5 of 1970) provides for a workman director on the board of each nationalised bank. 1970 is the year of the Act, not the date the first worker-director sat.

> **1975** **Shop councils and joint councils.** Covers manufacturing and mining units with **500 or more** workers, in the first instance. Linked to the 20-point programme.
>
> **1977** **Unit councils.** For commercial and service organisations with large-scale public dealings. Covers organisations with **100 or more** persons.
>
> **Dec 1983** **Scheme for central public sector undertakings.** Departmentally run central undertakings are left out because of the JCM.

TRAP

Students swap the thresholds of shop councils and unit councils because both are councils of the 1970s. Shop councils (1975) take **500**. Unit councils (1977) take **100**.

4. The Participation of Workers in Management Bill, 1990

The Bill was introduced in the Rajya Sabha on **30 May 1990**. It was **withdrawn on 1 August 2017**. It never became law. It did not lapse.

5. The Ahmedabad experiment

Who: A.K. Rice of the Tavistock Institute of Human Relations.

Where: the Calico Mills (Ahmedabad Manufacturing and Calico Printing Company), Ahmedabad.

Idea: socio-technical design. The loom shed was reorganised into small, internally structured and internally led work groups. Rice's own term is **"internally led"**, not "autonomous".

When: the experimental automatic loom shed was set up by March 1953. Tavistock records date the first changes to 1953 to 1954 and their measurement to 1970.

Result: one shed, 8 June to 22 August

- Efficiency before: 79.8
- Efficiency after: 90.3
- Damage before: 31.8
- Damage after: 24.5

These are mean percentages for the whole shed, from one 1953 paper by Rice. Rice counts "productivity" as higher efficiency and lower damage. The works manager noted that the period was the hardest of the year. The first phase raised damage.

6. The Codes

IR Code s.3(1) NEEDS RULES **Works Committee**

The appropriate Government may, by general or special order, require an employer of an industrial establishment to constitute a Works Committee. The trigger is **100 or more workers** now, or on any day in the preceding 12 months. Worker representatives must be **not less than** employer representatives.

The manner of constitution is as prescribed. Under IR Central Rules r.5 the employer must then proceed at once to constitute it.

OLD ID Act 1947 s.3 100 or more workmen in the preceding 12 months, and workmen's representatives not less than the employer's. "Workmen" became "workers" SAME

IR Code s.4 **Grievance Redressal Committee**

Chapter II of the IR Code holds only two committees: the Works Committee IR Code s.3(1) and this one. The Grievance Redressal Committee is covered in Topic 4, Conflicts and settlement.

OSH Code s.22(1) **Safety Committee**

The appropriate Government may, by general or special order, require an establishment or class of establishments to constitute a Safety Committee of representatives of employers and workers. Worker representatives shall not be less than employer representatives. In force from 21 November 2025 (S.O. 5321(E)). The manner of constitution needs rules.

OSH Code s.24(1)(v) **Canteen facility**

The employer must provide canteen facilities where **100 or more workers**, including contract labourers, are ordinarily employed. Prescribed by the Central Government. In force.

Both committee rules are orders, not automatic duties: the word is "may" require. The IR Code has no participation provision other than the Works Committee. The named exceptions are one workman director in each nationalised bank (Banking Companies Act, 1970) and Works Committees ordered by the appropriate Government IR Code s.3(1).

What changed

Point	Before	Now	
Works Committee	OLD ID Act 1947 s.3, "workmen"	IR Code s.3(1) NEEDS RULES, "workers"; same rule	SAME

Point	Before	Now	
Worker seats	Not less than the employer's OLD ID Act 1947 s.3	Not less than the employer's IR Code s.3(1)	SAME
Art 43A	Constitution Art 43A	Constitution Art 43A, unchanged by the Codes	SAME

Numbers on one scale

Headcounts

- **100** workers: Works Committee can be ordered IR Code s.3(1)
- **100** persons: unit councils, 1977
- **100** workers, including contract labour: canteen facility, OSH Code s.24(1)(v)
- **500** workers: shop councils and joint councils, 1975

Quick revision

Article for participation	Constitution Art 43A, Part IV
Amendment	42nd Amendment Act 1976 s.9, in force from 3 January 1977
Can a court enforce 43A?	No, Constitution Art 37
Five levels	Information sharing, consultative, associative, administrative, decisive
Works Committee	IR Code s.3(1) NEEDS RULES; 100 or more; worker reps not less than employer reps
Safety Committee	OSH Code s.22(1)
JMC	1958; model agreement 1957
Bank workman director	Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970
Shop and joint councils	1975; 500 or more; manufacturing and mining
Unit councils	1977; 100 or more; commercial and service
Central PSU scheme	December 1983

1990 Bill	Introduced 30 May 1990; withdrawn 1 August 2017
Ahmedabad	A.K. Rice, Tavistock, Calico Mills, socio-technical, "internally led"

Test yourself

1. Which Article of the Constitution deals with workers' participation in management, and which Amendment Act inserted it?
2. Can a court order the State to secure workers' participation under Article 43A? Give the reason.
3. Under the IR Code, from what size of establishment can a Works Committee be ordered, and who sits on it?
4. Which scheme covers manufacturing and mining units with 500 or more workers, and which covers commercial and service organisations with 100 or more persons?
5. What happened to the Participation of Workers in Management Bill, 1990?
6. In Rice's Ahmedabad study, what term did Rice use for the reorganised work groups?

Answers

1. Constitution Art 43A, inserted by 42nd Amendment Act 1976 s.9, in force from 3 January 1977. The Codes do not change it.
2. No. Constitution Art 43A is in Part IV, and under Constitution Art 37 Directive Principles are not enforceable by any court.
3. 100 or more workers, now or on any day in the preceding 12 months IR Code s.3(1) NEEDS RULES. The appropriate Government orders it. Worker representatives must be not less than employer representatives.
4. Shop councils and joint councils (1975) take 500 or more. Unit councils (1977) take 100 or more.
5. It was introduced in the Rajya Sabha on 30 May 1990 and withdrawn on 1 August 2017. It was never enacted. It did not lapse.
6. "Internally led" groups (small, internally structured and internally led), under socio-technical design.

TOPIC 6

The IR Code 2020 at a glance: old Acts to the Code

Three old Acts were merged into one Industrial Relations Code. This closing topic is the revision hub: the shape of the Code, a table of what moved from the old law, and the three subjects no other topic teaches (fixed-term employment, standing orders, and disciplinary inquiry).

LAW TODAY

The Industrial Relations Code 2020 IR Code (Act 35 of 2020), in force from 21 November 2025 (S.O. 5320(E)). It replaced OLD TU Act 1926, OLD IESO Act 1946 and OLD ID Act 1947, repealed from the same date IR Code s.104(1). Every IR Code section is in force.

1. **3 Acts, 1 Code.** The Code has **104** sections, **14** chapters and 3 Schedules, in force from 21 November 2025.

2. **Standing orders** apply at **300 or more** workers IR Code s.28(1) (old: 100). The Certifying Officer has **60 days**, else the draft is deemed certified IR Code s.30(5). The appeal period is **60 days** (old: 30) IR Code s.32.

3. **Fixed-term worker:** a written contract; pay and benefits **not less than** a permanent worker's; gratuity after **1 year** IR Code s.2(o). Expiry of the term is not retrenchment IR Code s.2(zh)(iv).

4. **Subsistence allowance** IR Code s.38: inquiry ordinarily within **90 days** of suspension; **50%** for the first 90 days, **75%** after, if the delay is not directly attributable to the worker's conduct.

5. **Thresholds that moved:** prior permission 100 to **300** IR Code s.77(1) NEEDS RULES; strike notice now covers **every** industrial establishment IR Code s.62(1); Grievance Redressal Committee cap 6 to **10** IR Code s.4(1) NEEDS RULES.

1. Three Acts become one Code

OLD TU Act 1926

Trade unions. Now IR Code Ch III.

OLD IESO Act 1946

Standing orders. Now IR Code Ch IV.

OLD ID Act 1947

Disputes, strikes, lay-off and closure. Now IR Code Ch II and IR Code Ch V to X, with penalties in IR Code Ch XIII.

One Code: IR Code

Act 35 of 2020. In force 21 November 2025. All three Acts repealed IR Code s.104(1).

The long title says the Code consolidates and amends the laws on Trade Unions, conditions of employment in industrial establishment or undertaking, and investigation and settlement of industrial disputes.

2. Key dates

2020 The Code is enacted as Act 35 of 2020.

21 Nov 2025 Code in force (S.O. 5320(E)). The three old Acts stand repealed.

2026 IR Code (Amendment) Act 2026, Act 1 of 2026. It is deemed in force from 21 November 2025. It substitutes IR Code s.104(1) and inserts IR Code s.104(1A).

8 May 2026 Industrial Relations (Central) Rules 2026, G.S.R. 342(E). They come into force on publication in the Gazette IR Central Rules r.1(2).

8 May 2026 Model Standing Orders 2026, S.O. 2312(E), made under IR Code s.29(1). In force from publication.

3. The Code at a glance

Point	Rule
Extent	The whole of India IR Code s.1(2)
Commencement	By Central Government notification. Different dates may be fixed for different provisions IR Code s.1(3). S.O. 5320(E) fixes 21 November 2025 for "the provisions of the said Code".
Size	**104** sections, **14** chapters, 3 Schedules. IR Code s.104 (Repeal and savings) is the last operative section.
Schedules	First: matters for standing orders. Second: unfair labour practices. Third: conditions of service for which notice of change is given.
Savings	Anything done under a repealed Act, such as a rule, notification, order or appointment, is deemed done under the matching Code provision. It stays in force to the extent it does not conflict with the Code. General Clauses Act 1897 s.6 also applies IR Code ss.104(2), 104(3).

Point	Rule
Old bodies	Tribunals and authorities working under the repealed Acts continue until the matching bodies become functional under the Code IR Code s.104(1A).
Rules	The Central Rules 2026 are made under IR Code s.99. They supersede the Industrial Disputes (Central) Rules 1957 (in so far as they relate to Part II and Parts V to VIII) and the Industrial Employment (Standing Orders) Central Rules 1946 (in so far as they relate to these rules), except for things done before the supersession. They apply to the establishments they cover. State rules may differ.

Chapter map

Chapter	Title and sections	Old law it replaced
I	Preliminary (definitions)	Definitions of worker and industry OLD ID Act 1947 s.2(s), OLD ID Act 1947 s.2(j)
II	Bi-partite Forums IR Code ss.3 to 4	Works Committee OLD ID Act 1947 s.3; Grievance Redressal Committee OLD ID Act 1947 s.9C
III	Trade Unions IR Code ss.5 to 27	OLD TU Act 1926
IV	Standing Orders IR Code ss.28 to 39	OLD IESO Act 1946
V	Notice of Change IR Code ss.40 to 41	OLD ID Act 1947 s.9A
VI	Voluntary Reference of Disputes to Arbitration IR Code s.42	Voluntary arbitration is retained
VII	Mechanism for Resolution of Industrial Disputes IR Code ss.43 to 61	Boards, Courts of Inquiry and Labour Courts are not Code bodies
VIII	Strikes and Lock-outs IR Code ss.62 to 64	OLD ID Act 1947 s.22, OLD ID Act 1947 s.23
IX	Lay-off, Retrenchment and Closure IR Code ss.65 to 76	Closure notice OLD ID Act 1947 s.25FFA
X	Special Provisions relating to Lay-off, Retrenchment and Closure in certain Establishments IR Code ss.77 to 82	OLD ID Act 1947 Ch VB
XI	Worker Re-skilling Fund IR Code s.83	None: the old Act had no such fund

Chapter	Title and sections	Old law it replaced
XII	Unfair Labour Practices IR Code s.84	Taught in Topic 4
XIII	Offences and Penalties IR Code ss.85 to 89	Penalties for lay-off, retrenchment and closure OLD ID Act 1947 s.25Q, OLD ID Act 1947 s.25R
XIV	Miscellaneous, up to IR Code s.104. Includes rules IR Code s.99 and repeal.	Repeal of the three Acts

4. Fixed-term employment

The IR Code gives fixed-term employment a statutory home. Two Codes define it, and each carries part of the gratuity rule. The Code on Social Security is in force only in part (S.O. 5319(E)); its definition section is in force.

IR Code s.2(o) Definition

Engagement of a worker on a **written** contract of employment for a fixed period.

Code on SS s.2(34) says nearly the same, for an "employee". It is in force.

OLD ID Act 1947 did not use the term "fixed term". The Code adds the named category NEW

IR Code s.2(o) proviso (a) Parity

Hours of work, wages, allowances and other benefits are **not less than** those of a permanent worker doing the same work or work of similar nature.

IR Code s.2(o) proviso (b) Proportional benefits

A fixed-term worker is eligible for all statutory benefits of a permanent worker in proportion to the period of service, even if the qualifying period is not met.

IR Code s.2(o) proviso (c) Gratuity after 1 year

Eligible for gratuity after **1 year** of service under the contract. Code on SS s.2(34) has no one-year gratuity condition.

Code on SS s.53(1)(d) No 5-year wait

Termination of the contract period under fixed term employment is a gratuity event. The 5-year continuous service rule is not needed on expiry of fixed term employment (second proviso to Code on SS s.53(1)). This section is in force.

Code on SS s.53(2) **Pro rata gratuity**

Under the third proviso, gratuity for a fixed-term employee is paid on a **pro rata** basis. The main rate is **15 days'** wages (or the number of days the Central Government notifies) for every completed year of service, or part of a year above 6 months.

IR Code First Schedule **Standing orders**

Item 1 lists fixed term employment among the classes of workers for standing orders.

TRAP

Students put all of the gratuity rule in one Code because both Codes define the term in nearly the same words. The **1 year** is in IR Code s.2(o). The **pro rata** rule is in Code on SS s.53(2). Code on SS s.2(34) names no period.

TRAP

Students say "same wages as a permanent worker". The Code says **not less than**, so parity is the floor IR Code s.2(o).

Expiry is not retrenchment

IR Code s.2(zh)(iv) **Retrenchment excludes expiry**

Termination of service on completion of the tenure of fixed term employment is left out of "retrenchment".

IR Code s.70 (one month's notice or pay, compensation of 15 days' average pay per completed year, notice to Government) applies to a worker who is "retrenched" after 1 year or more of continuous service. So it does not apply when the term ends by completion. Early termination is not covered by clause (iv).

IR Code s.2(zh)(iii) also leaves out non-renewal of a contract on expiry, or termination under a stipulation in it. OLD ID Act 1947 s.2(oo)(bb), inserted in 1984, already did this SAME

How fixed-term employment came in

2016 Ministry of Labour and Employment notification of 7 October 2016: fixed-term employment allowed in apparel manufacturing only.

2018 Notification of 16 March 2018 (G.S.R. 235(E)) removes the words "in apparel manufacturing sector". The category now covers all sectors.

5. Standing orders

Standing orders are the written service rules of an establishment. The Code deals with them in IR Code Ch IV (IR Code ss.28 to 39). The old law was OLD IESO Act 1946, repealed.

Who is covered and who makes the model

IR Code s.28(1) Coverage: 300 or more

The Chapter applies to an establishment with **300 or more** workers on any day of the preceding 12 months. The Code has no power to lower the 300. IR Code s.39 allows exemption from all or any of Chapter IV by notification, with or without conditions.

OLD IESO Act 1946 s.1(3) **100 or more** workmen. The appropriate Government could apply the Act to a smaller establishment after at least 2 months' notice CHANGED

IR Code s.2(g) Certifying officer

Any officer the appropriate Government appoints by notification. The Code does not say Labour Commissioner.

OLD IESO Act 1946 s.2(c) a Labour Commissioner or Regional Labour Commissioner, or another officer appointed by notification CHANGED

IR Code s.29(1) Model standing orders

The **Central Government** makes them.

IR Code s.29(2) Interim adoption

The model orders are deemed adopted until the certified orders come into operation under IR Code s.33. There is no Gujarat or Maharashtra carve-out.

OLD IESO Act 1946 s.12A(1) the same rule SAME. OLD IESO Act 1946 s.12A(2) excluded Gujarat and Maharashtra, and that exception is gone REMOVED

Draft, certification and appeal

IR Code ss.30(1), 30(2) Draft and consultation

The employer **prepares** a draft within **6 months** of commencement of the Code, based on the model, covering every First Schedule matter. The employer consults the Trade Unions, or the negotiating union or council, then forwards the draft to the certifying officer.

OLD IESO Act 1946 s.3(1) within 6 months of the Act applying, submit 5 copies to the Certifying Officer CHANGED

IR Code s.30(3) **Adopting the model**

An employer who adopts the Central model order is **deemed certified**. He informs the certifying officer, who may direct an amendment within the prescribed period. Under IR Central Rules r.10 the officer may direct within **30 days**. With no observation in 30 days, the order is deemed certified.

IR Code s.30(5) **Hearing and 60 days**

The certifying officer gives notice to the union side for comments, hears them, and makes a written order. If **60 days** pass from receipt, the draft is deemed certified. The same 60 days applies to modifications.

OLD IESO Act 1946 s.5(2) the employer and the trade union are heard CHANGED

IR Code s.32 **Appeal**

Within **60 days** of receipt of the order, to the appellate authority. The appellate authority is not the Tribunal.

OLD IESO Act 1946 s.6(1) **30 days** from the date copies are sent CHANGED

IR Code s.33(1) **Coming into operation**

Standing orders operate **30 days** after authenticated copies are sent, or **7 days** after copies of the appellate order are sent. The appellate order is served within 3 days of disposal IR Central Rules r.16(1) .

OLD IESO Act 1946 s.7 the same 30 and 7 days SAME

IR Code s.33(2) NEEDS RULES **Display**

Language and manner are left to rules. Under IR Central Rules r.16(2), 16(3) the employer keeps the text in Hindi, English and the local language, and displays the certified orders on the special board at or near the entrance most workers use.

OLD IESO Act 1946 s.9 posted in English and the language of most workmen, near the entrance and in all departments CHANGED

IR Code s.35(1) **Modification**

No modification for **6 months** from coming into operation, unless the employer and workers agree. The negotiating union can also agree.

OLD IESO Act 1946 s.10(1) the same 6 months, with agreement of the employer and workmen CHANGED

IR Code s.37 **Interpretation goes to the Tribunal**

A question on a certified standing order goes to the **Tribunal** (Industrial Tribunal under IR Code s.44). A two-member bench decides it IR Code s.44(7)(a), once the Tribunal functions. Until then IR Code s.104(1A) keeps the old Tribunals working.

OLD IESO Act 1946 s.13A the Labour Court CHANGED

IR Code First Schedule **Matters covered**

Eleven matters. Item 1 includes fixed term employment. Item 11 is any other matter the appropriate Government notifies.

Model Standing Orders 2026

IR Central Rules r.10 and Model SO 2026 Schedule C cl.9 **Work from home**

IR Central Rules r.10 says the model orders for the mine, manufacturing and service sectors are those in the Model Standing Orders 2026 (S.O. 2312(E), 8 May 2026). Schedule C (service sector), clause 9: subject to the conditions of appointment or an agreement, the employer **may allow** a worker to work from home, remote location and virtual workplace for the period or periods the employer determines. This is employer discretion. The Schedules print the heading "Draft", but the order is final and in force.

Time limits in standing orders

Standing orders apply at 300 or more workers IR Code s.28(1). The time limits are:

- **7 days** operation after the appellate order's copies are sent IR Code s.33(1)
- **30 days** operation after copies are sent IR Code s.33(1); and the officer's direction on an adopted model IR Central Rules r.10
- **60 days** certification, else deemed certified IR Code s.30(5); and the appeal period IR Code s.32
- **6 months** to prepare the draft IR Code s.30(1); and no modification IR Code s.35(1)

6. Disciplinary inquiry and subsistence allowance

A worker under suspension gets a subsistence allowance while the inquiry runs. The rule is in IR Code s.38 (Chapter IV).

IR Code s.38(1) **Time limit for the inquiry**

The investigation and inquiry, or both, are to be completed **ordinarily within 90 days** of suspension. "Ordinarily" makes it a norm, not an absolute bar.

OLD IESO Act 1946 no time limit NEW

IR Code s.38(2) **How the duty arises**

The certified or modified standing orders **shall provide** for the allowance.

OLD IESO Act 1946 s.10A(1) the employer **shall pay** the allowance CHANGED

IR Code s.38(3) **The two rates**

50% of the wages immediately before suspension for the first 90 days IR Code s.38(3)(a). **75%** for the remaining period, if the delay is not directly attributable to the worker's conduct IR Code s.38(3)(b).

OLD IESO Act 1946 s.10A the same two rates, with the same condition on the 75% SAME

First 90 days: 50% of wages

Remaining period, delay not the worker's doing: 75%

New: the 90-day limit and the route through standing orders. The 50% and 75% rates are old.

7. Other Code rules in brief

These are taught in full in Topic 2 (unions) and Topic 4 (disputes). Here is the detail behind the table in the next section.

Who is covered

IR Code s.2(zr) **Worker**

A person who does manual, unskilled, skilled, technical, operational, clerical or supervisory work in an industry. Includes working journalists and sales promotion employees. Excludes an apprentice under the Apprentices Act 1961, the forces, police or prison staff, mainly managerial or administrative staff, and a supervisor above **Rs 18,000** a month **or an amount the Central Government notifies**. The Code defines "employee" separately IR Code s.2(l). For Chapter III only, "worker" means all persons employed in trade or industry.

OLD ID Act 1947 s.2(s) "workman" included an apprentice. It excluded the forces, police and prison staff, managerial or administrative staff, and supervisors above Rs 10,000 a month or mainly doing managerial work. The managerial-functions limb is dropped CHANGED

IR Code s.2(p) **Industry**

A systematic activity by co-operation between employer and worker for the production, supply or distribution of goods or services to satisfy human wants, not merely spiritual or religious. It is an industry whether or not capital is invested or profit is sought. Excluded: institutions owned or managed by organisations wholly or substantially engaged in charitable, social or philanthropic service; sovereign functions of Government (including Central departments on defence research, atomic energy and space); domestic service; and any other activity the Central Government notifies.

In 2026 the CJI opinion in State of U.P. v. Jai Bir Singh said matters pending under the ID Act "may be adjudicated in accordance with the Triple Test" (para 287(iii)). It also said Bangalore Water Supply "shall not be regarded as the sheet anchor for the interpretation of the IR Code" (para 287(vi)).

OLD ID Act 1947 s.2(j) the triple test in Bangalore Water Supply v. Rajappa (1978, 7 judges). On the exclusions the Code is narrower: Rajappa kept charitable projects inside where the triple test was met CHANGED

Committees and notice of change

IR Code s.3(1) NEEDS RULES **Works Committee**

At **100 or more** workers (on any day in the preceding 12 months) the appropriate Government **may require** a Works Committee. Worker members are **not less than** the employer members, chosen in consultation with the registered union, if any. Duty: amity, comment on common concerns, compose differences.

OLD ID Act 1947 s.3 the same rule, with "workmen" SAME

IR Code s.4(1) NEEDS RULES **Grievance Redressal Committee**

Every industrial establishment with **20 or more** workers has one or more committees. Equal employer and worker members. The chair alternates each year. Cap **10** members; women in proportion to their share of the workforce. Application within **1 year** of the cause of action. The committee may finish in 30 days. A majority decision needs more than half of the worker members. If unresolved, apply to the conciliation officer within 60 days, through the union.

OLD ID Act 1947 s.9C 20 or more workmen, equal members, chair rotating each year, cap of **6**. The worker could appeal to the employer, who had one month. The Code drops the employer appeal CHANGED

IR Code s.40 NEEDS RULES **Notice of change**

No change in a Third Schedule matter without notice to the affected workers, or within **21 days** of the notice. The Third Schedule has 11 items. The section keeps the two provisos of the old section and adds two: emergent shift, and orders of the appropriate Government.

OLD ID Act 1947 s.9A 21 days, Fourth Schedule, 11 items SAME

Disputes and strikes

IR Code s.62(1) Strike notice

Notice **within 60 days before striking**, for **every** industrial establishment (the 60 days is the window, not "60 days' notice"). No strike within **14 days** of the notice or before the date in it. No strike during conciliation and 7 days after; during Tribunal or National Industrial Tribunal proceedings and 60 days after; during arbitration and 60 days after, where an IR Code s.42(5) notification is issued. IR Code s.2(zk): a strike includes concerted casual leave on a given day by 50% or more of the workers.

OLD ID Act 1947 s.22 notice only in **public utility services**, "within six weeks before striking". OLD ID Act 1947 s.23 had separate bans in all establishments during conciliation and other proceedings. The Code has no public utility concept CHANGED

IR Code s.43(1) Bodies that settle disputes

The conciliation officer stays. The Code has **no Board of Conciliation and no Court of Inquiry**. "Labour Court" appears only in the transitional IR Code s.51 and IR Code s.52. Tribunal IR Code s.44(2): **2 members**, one Judicial and one Administrative. A Tribunal constituted by the Central Government also exercises the jurisdiction of the Tribunal under EPF Act 1952 s.2(m) (EPF and MP Act 1952). National Industrial Tribunal IR Code s.46: 2 members, for questions of national importance or more than one State. Voluntary arbitration stays IR Code s.42(1). Old bodies continue under IR Code s.104(1A) until Code bodies are functional.

OLD ID Act 1947 Boards of Conciliation, Courts of Inquiry, Labour Courts; a Tribunal was one person OLD ID Act 1947 s.7A; National Tribunal under OLD ID Act 1947 s.7B REMOVED

IR Code ss.4(10), 4(11) Conciliation timing and direct approach

Conciliation report in **45 days** (or a shorter period the Government fixes); **14 days** where a IR Code s.62 strike notice was received. Direct approach: after 45 days from the conciliation application (IR Code s.4(10)), within 2 years of the discharge, dismissal, retrenchment or termination (IR Code s.4(11)).

Closure, re-skilling and penalties

IR Code s.77(1) NEEDS RULES Prior permission

Prior permission at **300 or more** workers on average per working day, or a higher number the appropriate Government notifies. The higher number works only through a notification. A State can raise it only where the State is the appropriate Government.

Closure notice IR Code s.74(1): at least **60 days** before closure, to the appropriate Government; not for establishments with fewer than 50 workers or for construction work. Closure in a Chapter X establishment: application for permission at least **90 days** before IR Code s.80(1).

OLD ID Act 1947 Ch VB prior permission at **100** workmen CHANGED

TRAP

Students confuse the two 300s because both are thresholds in the Code. **300** in IR Code s.28(1) is when standing orders apply. **300** in IR Code s.77(1) is when prior permission is needed, or a higher number the appropriate Government notifies.

IR Code s.83(2)(a) NEEDS RULES Worker Re-skilling Fund

The employer pays **15 days'** last-drawn wages (or another number of days the Central Government notifies) for **each retrenched worker** only. No payment for closure or lay-off. The amount is credited to the worker within 45 days of retrenchment IR Code s.83(3). The employer transfers the amount into the Fund within 10 days of the retrenchment IR Central Rules r.37(1), for the establishments the Central Rules cover.

OLD ID Act 1947 no such fund NEW

IR Code s.86 Penalties for closure-related offences

IR Code s.86(1): contravening the prior-permission rules (IR Code s.78, IR Code s.79, IR Code s.80): fine **Rs 1 lakh to Rs 10 lakh**. IR Code s.86(2): repeat offence, **Rs 5 lakh to Rs 20 lakh** or up to 6 months, or both. IR Code s.86(3): contravening IR Code s.67, IR Code s.70, IR Code s.73, IR Code s.75 (Chapter IX duties): **Rs 50,000 to Rs 2 lakh**. IR Code s.86(4): repeat of that, Rs 1 lakh to Rs 5 lakh or up to 6 months, or both.

Imprisonment survives for repeat offences and for some first offences (illegal strike or lock-out, instigation, financing, breach of settlement or award, disclosure). If the offence is fine-only IR Code s.89(1): it may be compounded for **50%** of the maximum fine. Example: IR Code s.86(1) maximum Rs 10 lakh gives Rs 5 lakh; IR Code s.86(3) maximum Rs 2 lakh gives Rs 1 lakh.

OLD ID Act 1947 s.25Q up to 1 month, or fine up to Rs 1,000, or both. OLD ID Act 1947 s.25R (closure) up to 6 months, or fine up to Rs 5,000, or both CHANGED

What changed

Point	Before	Now	
Worker	"Workman"; supervisor limit Rs 10,000 OLD ID Act 1947 s.2(s)	"Worker"; supervisor limit **Rs 18,000** or notified amount IR Code s.2(zr)	CHANGED
Industry	Triple test in a judgment, 1978 OLD ID Act 1947 s.2(j)	Test written into the Code IR Code s.2(p)	CHANGED
Union registration	7 members; 10% or 100 OLD TU Act 1926 s.4	The same test IR Code ss.6(1), 6(2); minimum 7 held at all times IR Code s.6(4)	SAME
Works Committee	100 workmen OLD ID Act 1947 s.3	100 workers IR Code s.3(1) NEEDS RULES	SAME
Grievance committee	Cap **6** OLD ID Act 1947 s.9C	Cap **10** IR Code s.4(1) NEEDS RULES	CHANGED
Strike notice	Public utility services only; six weeks OLD ID Act 1947 s.22	**Every** establishment; 60-day window IR Code s.62(1)	CHANGED
Prior permission	**100** workmen OLD ID Act 1947 Ch VB	**300** workers, or a higher number the appropriate Government notifies IR Code s.77(1) NEEDS RULES	CHANGED
Re-skilling Fund	None	15 days' last-drawn wages (or another number of days the Central Government notifies) per retrenched worker IR Code s.83(2)(a) NEEDS RULES	NEW
Dispute bodies	Boards, Courts of Inquiry, Labour Courts OLD ID Act 1947	Conciliation officer and 2-member Tribunal IR Code s.44(2)	REMOVED
Notice of change	21 days OLD ID Act 1947 s.9A	21 days IR Code s.40 NEEDS RULES	SAME

Point	Before	Now	
Penalties	Up to 1 month or Rs 1,000 OLD ID Act 1947 s.25Q	Fine of **Rs 1 lakh to Rs 10 lakh** IR Code s.86(1)	CHANGED
Fixed term	Term not used; non-renewal excluded OLD ID Act 1947 s.2(oo)(bb)	Defined, with parity and gratuity IR Code s.2(o)	NEW
Standing orders: coverage	100 workmen OLD IESO Act 1946 s.1(3)	**300** workers IR Code s.28(1)	CHANGED
Standing orders: appeal	30 days OLD IESO Act 1946 s.6(1)	**60** days IR Code s.32	CHANGED
Standing orders: forum	Labour Court OLD IESO Act 1946 s.13A	Tribunal IR Code s.37	CHANGED
Subsistence allowance	No time limit; 50% then 75% OLD IESO Act 1946 s.10A	Inquiry **ordinarily within 90 days**; 50% for the first 90 days, then 75%, if the delay is not directly attributable to the worker's conduct IR Code s.38	CHANGED

Numbers on one scale

Time limits

- **7 days** standing orders operate after the appellate order's copies are sent IR Code s.33(1)
- **14 days** no strike within 14 days of the notice IR Code s.62(1)
- **21 days** notice of change IR Code s.40 NEEDS RULES
- **45 days** conciliation report due (or a shorter period the Government fixes) IR Code s.53(5)
- **45 days** after the conciliation application: a worker may go directly to the Tribunal IR Code s.4(10)
- **60 days** strike notice window IR Code s.62(1); certification IR Code s.30(5); appeal IR Code s.32
- **90 days** inquiry ordinarily completed IR Code s.38(1)
- **1 year** of service: gratuity for a fixed-term worker IR Code s.2(o)

Headcounts

20 workers: Grievance Redressal Committee IR Code s.4(1) NEEDS RULES

100 workers: Works Committee may be required IR Code s.3(1) NEEDS RULES

300 workers: standing orders IR Code s.28(1); prior permission, or a higher notified number IR Code s.77(1) NEEDS RULES

Shares and money

50% and 75% subsistence allowance: first 90 days, then the remaining period IR Code s.38(3)

Rs 18,000 a month: a supervisor above this, or above the amount the Central Government notifies, is not a worker IR Code s.2(zr)

Quick revision

What the Code replaced	OLD TU Act 1926, OLD IESO Act 1946, OLD ID Act 1947; repealed from 21 November 2025 IR Code s.104(1)
Size of the Code	104 sections, 14 chapters, 3 Schedules
In force	21 November 2025 (S.O. 5320(E)); Central Rules and Model Standing Orders on 8 May 2026
Standing orders apply at	300 or more workers IR Code s.28(1); old 100
Who makes model standing orders	The Central Government IR Code s.29(1)
Time to certify; appeal	60 days, else deemed certified IR Code s.30(5); 60 days to appeal (old 30) IR Code s.32
Forum on a certified order	The Tribunal, not the Labour Court IR Code s.37
Fixed-term pay and benefits	Not less than a permanent worker's IR Code s.2(o)
Fixed-term gratuity	After 1 year IR Code s.2(o); pro rata Code on SS s.53(2)
Expiry of a fixed term	Not retrenchment IR Code s.2(zh)(iv)
Subsistence allowance	50% for the first 90 days, 75% after, if the delay is not directly attributable to the worker's conduct; inquiry ordinarily within 90 days IR Code s.38

Strike notice	Every establishment; 60-day window; old rule only for public utility services IR Code s.62(1)
Prior permission	300 or more, or a higher notified number (old 100) IR Code s.77(1) NEEDS RULES
Bodies not in the Code	Board of Conciliation, Court of Inquiry; Labour Court only in the transitional IR Code s.51, IR Code s.52

Test yourself

1. Which three Acts did the IR Code replace, and from what date?
2. From how many workers do standing orders apply under the Code, and what was the old number?
3. A draft of standing orders is sent for certification. What happens if the certifying officer does nothing for 60 days?
4. A fixed-term worker is paid less than a permanent worker doing the same work. Is that allowed? After how long is the worker eligible for gratuity?
5. Does the end of a fixed-term contract count as retrenchment?
6. A worker is suspended and the inquiry runs past 90 days, but not because of the worker. What allowance is due?
7. Which forum decides a question on the interpretation of a certified standing order?

Answers

1. OLD TU Act 1926, OLD IESO Act 1946 and OLD ID Act 1947, repealed from 21 November 2025 IR Code s.104(1).
2. 300 or more IR Code s.28(1). The old Act said 100 OLD IESO Act 1946 s.1(3).
3. The draft is deemed certified IR Code s.30(5).
4. No. Pay and benefits must be not less than a permanent worker's IR Code s.2(o). Gratuity is due after 1 year of service under the contract IR Code s.2(o); it is paid pro rata Code on SS s.53(2).
5. No. Termination on completion of the tenure of fixed term employment is left out of "retrenchment" IR Code s.2(zh)(iv).
6. 75% of the wages immediately before suspension for the remaining period IR Code s.38(3)(b). The first 90 days carry 50% IR Code s.38(3)(a).
7. The Tribunal (Industrial Tribunal under IR Code s.44) IR Code s.37. The old forum was the Labour Court OLD IESO Act 1946 s.13A.